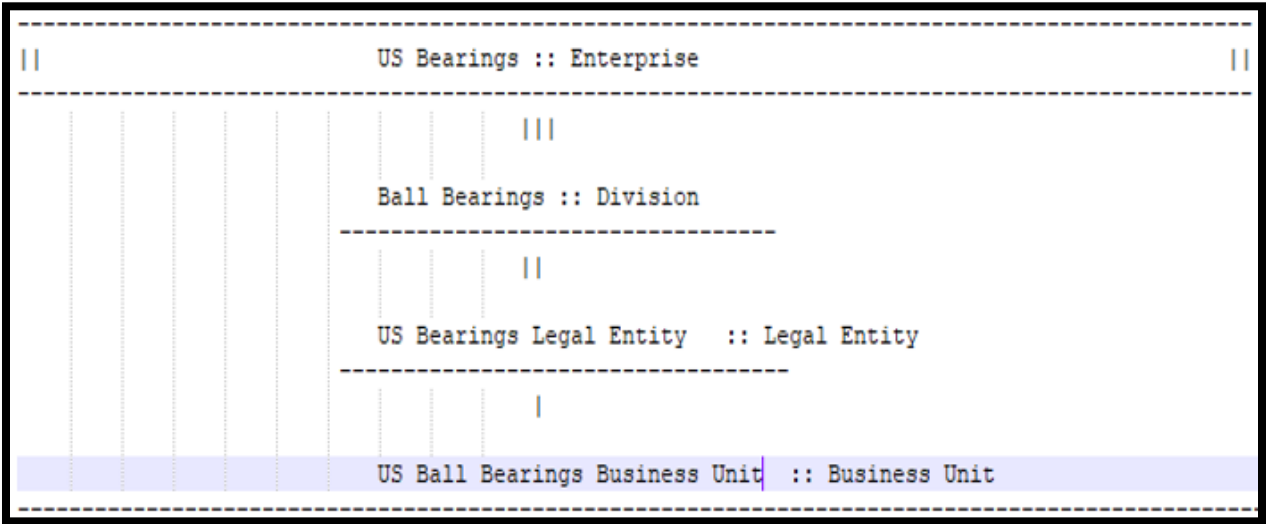


Setting up Tax Compounding

The following is the Enterprise Structure which would be considered



Tax Compounding which we are implementing is $\text{Tax 2} = \% \text{ of } (\text{Line} + \text{Tax1})$.

Manage Tax Regimes

The Oracle 'Create Tax Regime' form contains the following fields and sections:

- Form Fields:**
 - * Tax Regime Code: Compounding_Regime
 - * Tax Regime Name: Compounding_Regime
 - * Regime Level: Country
 - * Country: United States
 - Parent Regime Code: (Dropdown)
 - * Start Date: 1/1/18
 - End Date: (Calendar icon)
 - ☐ Used to group regimes
- Controls and Defaults:**
 - Defaults
 - Tax Currency: USD - US Dollar
 - Minimum Accountable Unit: 0.01
 - Tax Precision: 0
 - Tax Inclusion Method: Standard noninclusive hand
 - Conversion Rate Type: (Dropdown)
 - Rounding Rule: Nearest
 - ☒ Allow tax rounding override
 - Reporting Tax Authority: (Dropdown)
 - Collecting Tax Authority: (Dropdown)
 - ☒ Use legal registration number

FUSION TAX

General Controls

☐ Allow override and entry of inclusive tax lines ☐ Use tax reporting configuration

Registration Number Controls and Defaults

Validation Type Duplicate Validation Level

Validation Level

Compounding Level Controls

☐ Allow cross regime compounding Compounding Precedence

Configuration Options and Service Subscriptions

Configuration Options Service Subscriptions

View Format + Freeze Detach Wrap

* Party Name	Party Type	Country	* Configuration for Taxes and Rules	* Configuration for Product Exceptions	Parent First-Party Organization	* Effective
US Bearings Business	Business unit ow...	United States	Common configuration	Common configuration		1/1/18

Save and Close

Manage Taxes

Create the First Tax and provide the compounding precedence as 1

ORACLE

Search

APPLICATION_IMPLEMENT...

Create Tax

Save Save and Close Save and Create Another Cancel

* Tax Regime Code COMPOUNDING_RE...

* Configuration Owner Global configuration o

* Tax >omponding_First_Tax

* Tax Name >omponding_First_Tax

Tax Type

* Start Date 1/1/18

End Date

☐ Enable tax for simulation

☐ Enable tax for transactions

Tax Information

* Geography Type STATE

* Parent Geography Type COUNTRY

* Parent Geography Name United States

Override Geography Type

* Tax Currency USD - US Dollar

Tax Minimum Accountable Unit 0.01

Tax Precision 0

Conversion Rate Type

Rounding Rule Nearest

Compounding Precedence 1

Reporting Tax Authority

Collecting Tax Authority

Applied Amount Handling Prorated

☐ Set as offset tax

☐ Set tax for reporting purposes only

FUSION TAX

Controls and Defaults

Tax Rule Defaults

Tax Accounts

Tax Reporting Codes

Tax Jurisdictions

Controls

Tax Point Basis

Invoice

Tax Inclusion Method

Standard noninclusive handling

—

Allow override and entry of inclusive tax lines

☒

Allow tax rounding override

☒

Allow override of calculated tax lines

☒

Allow entry of manual tax lines

☒

Use legal registration number

☒

Allow duplicate registration numbers

☒

Allow multiple jurisdictions

☒

Allow creation of multiple jurisdictions

☐

Use in withholding tax calculation

Tax Accounts Controls

Tax Accounts Creation Method

Create tax accounts

Tax Accounts Source

Tax Exceptions and Exemptions Controls and Defaults

☒

Allow tax exceptions

☒

Allow tax exemptions

☐

Use tax exemptions from an existing tax

Tax Exemptions Source

Registration Number Controls and Defaults

Validation Type

Validation Level

Duplicate Validation Level

Tax Recovery Controls and Defaults

☒

Allow tax recovery

☒

Allow tax recovery rate override

* Primary Recovery Type

STANDARD

Secondary Recovery Type

Controls and Defaults

Tax Rule Defaults

Tax Accounts

Tax Reporting Codes

Tax Jurisdictions

Direct Defaults

Place of Supply

Ship to, use bill to if :

Tax Applicability

Applicable

Tax Registration

Ship-from party

Tax Calculation Formula

STANDARD_TC

Taxable Basis Formula

STANDARD_TB

Indirect Defaults

View

Format

Create Default

Edit Default

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction			
Tax Status			
Tax Rate			

Save and Close

Manage Tax Statuses

ORACLE

Search

APPLICATION_IMPLEMENT...

Create Tax Status

Save Save and Close Save and Create Another Cancel

* Tax Regime Code COMPOUNDING_REG...
* Configuration Owner Global configuration o...
* Tax COMPOUNDING_FIR...
* Tax Status Code COMPOUNDING_FIRS...
* Tax Status Name COMPOUNDING_FIRS...

* Start Date 1/1/18
End Date
☒ Set as default tax status
* Default Start Date 1/1/18
Default End Date

Controls and Defaults

☒ Allow tax exceptions
☒ Allow tax exemptions
☒ Allow tax rate override

Save and Close

Manage Tax Rate and Tax Recovery Rates

ORACLE

Search

APPLICATION_IMPLEMENT...

Create Tax Rate

Save Save and Close Save and Create Another Cancel

* Tax Regime Code COMPOUNDING_REGI...
* Configuration Owner Global configuration ow...
* Tax COMPOUNDING_FIRS...
* Tax Status Code COMPOUNDING_FIRS...
Tax Jurisdiction Code
* Tax Rate Code Compounding_Rate_
* Tax Rate Type Percentage

Tax Regime Name Compounding_Regime
Tax Name Compounding_First_Tax
Tax Status Name COMPOUNDING_FIRST_STATUS
Tax Jurisdiction Name
Tax Classification Code Set Assignments ☒ Order to cash
☒ Procure to pay
☒ Expenses

Rate Periods

View Format + Detach

* Rate Percentage	* Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date
10	1/1/18		☒	1/1/18	

Controls

Tax Inclusion Method Standard noninclusive handling
— Allow override and entry of inclusive tax lines
☒ Allow tax exemptions
☒ Allow tax exceptions

☒ Allow ad hoc tax rate
Adjustment for Ad Hoc Tax Amounts Taxable basis
Tax Point Basis Invoice

Save and Close

Create tax recovery

ORACLE Search Star Flag Mail Help Help APPLICATION_IMPLEMENT...

Create Tax Recovery Rate

Save **Save and Close** **Save and Create Another** **Cancel**

* Tax Regime Code: COMPOUNDING_REC
Tax Regime Name: Compounding_Regime

* Configuration Owner: Global configuration o
Rate Type: RECOVERY

* Tax: UNDING_FIRST_TAX
Tax Name: Compounding_First_Tax

* Tax Recovery Rate Code: mpounding_First_100

* Recovery Type: STANDARD

Recovery Rate Periods

View Format + Detach Wrap

* Rate Percentage	Recovery Rate Period Name	* Effective Start Date	Effective End Date	Set as Default Rate	* Default Start Date	Default End Date	Allow Ad Hoc Recovery Rate
100		1/1/18		☒	1/1/18		☒

100, 2018-01-01: Recovery Rate Account Details

View Format + Detach

* Ledger	Business Unit	* Tax Recoverable Account
USB Ledger	US Bearings Business Unit	10-BBU-30001

Save and Close

Associate the tax recovery rate to the tax rate

Recovery Rate Details

Default Recovery Rate Code: COMPOUNDING_FIR
Rule Code of Recovery Rate:

Recovery Type: STANDARD

Save and Close

Manage Tax Jurisdictions

ORACLE

Search

APPLICATION_IMPLEMENT...

Create Tax Jurisdiction

* Tax Jurisdiction Code

Compounding_First_Ju

* Tax Jurisdiction Name

Compounding_First_Ju

* Tax Regime Code

COMPOUNDING_REGI

* Tax

COMPOUNDING_FIRS

* Geography Type

STATE

* Geography Name

CA

Parent Geography Type

COUNTRY

Parent Geography Name

United States

☐ Inner city jurisdiction

* Precedence Level

300

View Precedence Details

Reporting Tax Authority

Collecting Tax Authority

* Start Date

1/1/18

End Date

Save

Save and Close

Save and Create Another

Cancel

Default Information

☒ Set as default jurisdiction

* Default Start Date

1/1/18

Default End Date

Save and Close

Enable the tax for transactions.

FUSION TAX

Manage Taxes

Create the Second Tax and provide the compounding precedence as 2

ORACLE APPLICATION_IMPLEMENT...

Create Tax Save Save and Close Save and Create Another Cancel

* Tax Regime Code: COMPOUNDING_REC
 * Configuration Owner: Global configuration o
 * Tax: Compounding_Second
 * Tax Name: Compounding_Second

Tax Type:
 * Start Date: 1/1/18
 End Date:
☐ Enable tax for simulation
☐ Enable tax for transactions

Tax Information

* Geography Type: STATE
 * Parent Geography Type: COUNTRY
 * Parent Geography Name: United States
 Override Geography Type:
 * Tax Currency: USD - US Dollar
 Tax Minimum Accountable Unit: 0.01
 Tax Precision: 0
 Conversion Rate Type:
 Rounding Rule: Nearest
 Compounding Precedence: 2
 Reporting Tax Authority:
 Collecting Tax Authority:
 Applied Amount Handling: Prorated
☐ Set as offset tax
☐ Set tax for reporting purposes only

Controls and Defaults Tax Rule Defaults Tax Accounts Tax Reporting Codes Tax Jurisdictions

Controls

Tax Point Basis: Invoice
 Tax Inclusion Method: Standard noninclusive handling
☐ Allow override and entry of inclusive tax lines
☒ Allow tax rounding override
☒ Allow override of calculated tax lines
☒ Allow entry of manual tax lines
☐ Use in withholding tax calculation
☒ Use legal registration number
☒ Allow duplicate registration numbers
☒ Allow multiple jurisdictions
☒ Allow creation of multiple jurisdictions

Tax Accounts Controls

Tax Accounts Creation Method: Create tax accounts
 Tax Accounts Source:
☐ Allow tax exceptions
☒ Allow tax exemptions
☐ Use tax exemptions from an existing tax
 Tax Exemptions Source:
Registration Number Controls and Defaults
 Validation Type:
 Validation Level:
 Duplicate Validation Level:
☒ Allow tax recovery
☒ Allow tax recovery rate override
 * Primary Recovery Type: STANDARD
 Secondary Recovery Type:
☒ Allow tax recovery

Tax Recovery Controls and Defaults

☒ Allow tax recovery
☒ Allow tax recovery rate override
 * Primary Recovery Type: STANDARD
 Secondary Recovery Type:
☒ Allow tax recovery

FUSION TAX

Controls and Defaults

Tax Rule Defaults

Tax Accounts

Tax Reporting Codes

Tax Jurisdictions

Direct Defaults

Place of Supply

Ship to, use bill to if :

Tax Applicability

Applicable

Tax Registration

Ship-from party

Tax Calculation Formula

STANDARD_TC

Taxable Basis Formula

STANDARD_TB

Indirect Defaults

ViewFormatCreate DefaultEdit Default

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction			
Tax Status			
Tax Rate			

Save and Close

Manage Tax Statuses

ORACLE

Search

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APPLICATION_IMPLEMENT...

Create Tax Status

SaveSave and CloseSave and Create AnotherCancel

* Tax Regime Code

IPOUNDING_REGIME

* Configuration Owner

Global configuration o

* Tax

COMPOUNDING_SEC

* Tax Status Code

Compounding_Second

* Tax Status Name

Compounding_Second

* Start Date

1/1/18

End Date

☒ Set as default tax status

* Default Start Date

1/1/18

Default End Date

Controls and Defaults

☒ Allow tax exceptions

☒ Allow tax exemptions

☒ Allow tax rate override

Save and Close

Manage Tax Rate and Tax Recovery Rates

ORACLE Search Star Flag Help Help Help APPLICATION_IMPLEMENT...

Create Tax Rate

Save **Save and Close** **Save and Create Another** **Cancel**

* Tax Regime Code **COMPOUNDING_REGI** Tax Regime Name **Compounding_Regime**

* Configuration Owner **Global configuration ow**

* Tax **COMPOUNDING_SECC** Tax Name **Compounding_Second_Tax**

* Tax Status Code **COMPOUNDING_SECC** Tax Status Name **Compounding_Second_Status**

Tax Jurisdiction Code Tax Jurisdiction Name

* Tax Rate Code **Compounding_Rate_**

* Tax Rate Type **Percentage**

Tax Classification Code Set Assignments ☒ Order to cash
☒ Procure to pay
☒ Expenses

Rate Periods

View **▼** Format **▼** **+** **☰** **✎** **Detach**

* Rate Percentage	* Effective Start Date	Effective End Date	Example: 11/29/14	as Default Rate	Default Start Date	Default End Date
5	1/1/18 📅	📅		☒	1/1/18 📅	📅

Controls

Tax Inclusion Method **Standard noninclusive handling**

☐ Allow override and entry of inclusive tax lines

☒ Allow tax exemptions

☒ Allow tax exceptions

☒ Allow ad hoc tax rate

Adjustment for Ad Hoc Tax Amounts **Taxable basis** **▼**

Tax Point Basis **Invoice** **▼**

Save and Close

Create tax recovery rate

Create Tax Recovery Rate

* Tax Regime Code: COMPOUNDING_REC
 * Configuration Owner: Global configuration o
 * Tax: COMPOUNDING_SEC
 * Tax Recovery Rate Code: Compounding_Secon
 * Recovery Type: STANDARD

Tax Regime Name: Compounding_Regime
 Rate Type: RECOVERY
 Tax Name: Compounding_Second_Tax

Save Save and Close Save and Create Another Cancel

Recovery Rate Periods

View Format + Detach Wrap

* Rate Percentage	Recovery Rate Period Name	* Effective Start Date	Effective End Date	Set as Default Rate	* Default Start Date	Default End Date	Allow Ad Hoc Recovery Rate
100		1/1/18		☒	1/1/18		☒

100, 2018-01-01: Recovery Rate Account Details

View Format + Detach

* Ledger	Business Unit	* Tax Recoverable Account
USB Ledger	US Bearings Business Unit	10-BBU-30001

Save and Close

Associate the tax recovery to the tax rate

Recovery Rate Details

Default Recovery Rate Code: COMPOUNDING_SEC
 Recovery Type: STANDARD

Rule Code of Recovery Rate

Save and Close

Manage Tax Jurisdictions

ORACLE

Search

APPLICATION_IMPLEMENT...

Create Tax Jurisdiction

* Tax Jurisdiction Code

Compounding_Second

* Tax Jurisdiction Name

Compounding_Second

* Tax Regime Code

COMPOUNDING_REGI

* Tax

COMPOUNDING_SECC

* Geography Type

STATE

* Geography Name

CA

Parent Geography Type

COUNTRY

Parent Geography Name

United States

☐ Inner city jurisdiction

* Precedence Level

300

View Precedence Details

Reporting Tax Authority

Collecting Tax Authority

* Start Date

1/1/18

End Date

Registration Number Controls and Defaults

Validation Type

Duplicate Validation Level

Validation Level

Default Information

☒ Set as default jurisdiction

* Default Start Date

1/1/18

Default End Date

Save and Close

Manage Tax Formulas

Formula Type=Taxable Basis Formulas

The screenshot shows the 'Edit Taxable Basis Formula' page in Oracle Fusion Tax. The formula is 'CMPD_FB_LA1' and its type is 'Line amount'. The configuration owner is 'Global configuration owner'. The tax is 'COMPOUNDING_SECOND_TAX'. The start date is '5/30/18'. The end date is empty. The 'Enable tax formula' checkbox is checked. The 'Line Amount Options' tab is selected, showing options to add freight, insurance, packing, and miscellaneous charges, and to subtract commercial and cash discounts, apply value additions, and apply price thresholds. The 'Base Rate Modifier' is set to 0. Below this is a table titled 'Tax Formula Compounding Details'.

* Compounding Tax Regime Code	* Compounding Tax	Enforce Compounding
COMPOUNDING_REGIME	COMPOUNDING_FIRST_TAX	—

Save and Close

Ensure to set the taxable basis as the above one under taxes

Enable the tax for transactions.

Manage Tax Rules

Create Taxable Basis Rule

ORACLE

Search

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APPLICATION_IMPLEMENT...

Tax Determining Factors

Tax Condition Set

Rule Status and Order

Edit Determine Taxable Basis Rules CMPD_TB_RULE: Tax Deter...

Back

Next

Submit

Cancel

Rule Details

Configuration OwnerGlobal configuration owner

Tax Regime CodeCOMPOUNDING_REGIME

TaxCOMPOUNDING_SECOND_TAX

Rule CodeCMPD_TB_RULE

Start Date1/1/18

Tax Law Reference

* Rule NameCMPD_TB_RULE

End Date

Description

Event Class

Event ClassStandard Invoices

Geography

☐ Set as geography specific rule

Parent Geography Type

Geography Type

Location Type

Parent Geography Name

Geography Name

Tax Determining Factor Set

CodeCMPD_TDFS

NameCMPD_TDFS

LedgerUSB Ledger

Tax Determining Factor Set Details

View

Format

Detach

Wrap

Determining Factor Class	Tax Class Qualifier	Determining Factor Name	Required
Geography	Ship to	State	—

ORACLE

Search

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APPLICATION_IMPLEMENT...

Tax Determining Factors

Tax Condition Set

Rule Status and Order

Edit Determine Taxable Basis Rule CMPD_TB_RULE: Tax Condi...

Back

Save and Next

Submit

Cancel

Rule Details

Configuration OwnerGlobal configuration owner

Rule CodeCMPD_TB_RULE

Determining Factor Set CodeCMPD_TDFS

Tax Regime CodeCOMPOUNDING_REGIME

Rule NameCMPD_TB_RULE

Determining Factor Set NameCMPD_TDFS

TaxCOMPOUNDING_SECOND_TAX

Tax Condition Set

View

Detach

* Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	* New Condition Set Order	* Result	Minimum Taxable Amount	Maximum Taxable Amount	Enabled
CMPD_TCS	CMPD_TCS	1	1	CMPD_FB_LA1			☒

FUSION TAX

Next

CMPD_TCS: Details

Tax Condition Set

Tax Reporting Codes

Legal Justification Message Reporting Codes

View

Detach

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Geography	Ship to	State	Equal to	CA		—

Save and Next

ORACLE

Search

APPLICATION_IMPLEMENT...

Tax Determining Factors

Tax Condition Set

Rule Status and Order

Edit Determine Taxable Basis Rule: Rule Status and Order

BackNextSubmitCancel

Rule Configuration Owner

Global configuration owner

Tax Regime Code

COMPOUNDING_REGIME

Tax

COMPOUNDING_SECOND_TAX

Rule Status and Order

View

Detach

Rule Order	New Rule Order	Evaluation Order	Rule Code	Rule Name	Start Date	End Date	Enabled	Application	Ev
10		1	CMPD_TB_RULE	CMPD_TB_RULE	1/1/18		☒	Payables	St

CMPD_TB_RULE: Tax Conditions

View

Detach

Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	Result	Minimum Taxable Amount	Maximum Taxable Amount	Enabled
CMPD_TCS	CMPD_TCS	1	CMPD_FB_LA1			☒

Tax Condition Set

Tax Reporting Codes

Legal Justification Message Reporting Codes

View

Detach

Tax Determining Factor Class	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Geography	State	Equal to	CA		—

Submit

Manage Configuration Owner Tax Options

ORACLE

Search

APPLICATION_IMPLEMENT...

Create Configuration Owner Tax Options

* Configuration Owner

arings Business Unit

Party Type

Business unit owning tax content

Application Name

Payables

* Event Class

Standard Invoices

Entity Name

Purchase Invoices

* Start Date

1/3/18

End Date

Save

Save and Close

Save and Create Another

Cancel

Default Tax Options

Rounding Precedence 1

Rounding Precedence 2

Rounding Precedence 3

Rounding Precedence 4

Rounding Level

Header

Allow exemptions

* Regime Determination Set

Determine Applicable

Perform additional applicability for imported documents

Allow offset tax calculation

Offset Tax Basis

Ship-from party

Allow tax applicability

Allow entry of manual tax lines

Allow recalculation of manual tax lines

Show tax calculation errors on transactions

Allow override of calculated tax lines

Allow override and entry of inclusive tax lines

Allow supplier tax variance calculation

Enforce tax from reference document

Enforce tax from account

Default Tax Point Basis

Invoice

Tax Tolerance

Tolerance Percentage

Tolerance Range Amount

Receipt Tax Options

Allow delivery-based tax calculation

Report Delivery-Based Taxes on

Receipt

Invoice

Tax Point Date

Receipt date

Tax Point Basis

Delivery

Save and Close

FUSION TAX

Create an Invoice for ship to location falling in CA State to see Tax Compounding

ORACLE Edit Invoice: MJINV_COMPOUNDING_2

Invoice Actions: Save Save and Edit Another Save and Close Cancel

Last Saved 30/05/18 9:40 AM

Invoice Header Show More

Identifying PO: * Number MJINV_COMPOUNDING_2 * Date 30/05/18

Business Unit: US Bearings Business Unit * Amount USD 1,155 * Payment Terms Immediate

Supplier: Ball Bearings Type: Standard * Terms Date 30/05/18

Supplier Number: 1488256385 Description: Requester:

Supplier Site: Main-Pay Attachments: None +

Legal Entity: US Bearings Legal Entity Note:

Invoice Group:

Invoice Summary

Status

Validation	Validated
Approval	Not required
Accounting	Unaccounted
Paid	Unpaid
Canceled	No

Holds

Installments	0
Line Variance	0
Distribution Variance	0

Lines Match Invoice Lines

View: + - Detach Allocate Cancel Line Distributions

* Number	* Type	* Amount	Distribution Set	Distribution Combination	Accounting Date	Prorate All Item
1	Item	1,000		10-BBU-20001	30/05/18	

Taxes

Totals

Items	Freight	Miscellaneous	Tax	Included Prepayments	Total
1,000	0	0	155	0	1,155
			Withholding 0	Applied Prepayments 0	Due 1,155

Manual Holds

Manual Holds	0
System Holds	0
Supplier Site	No

Payments

Due Date	30/05/18
Payments	0 USD

The invoice amount is 1000

Tax 1=10%

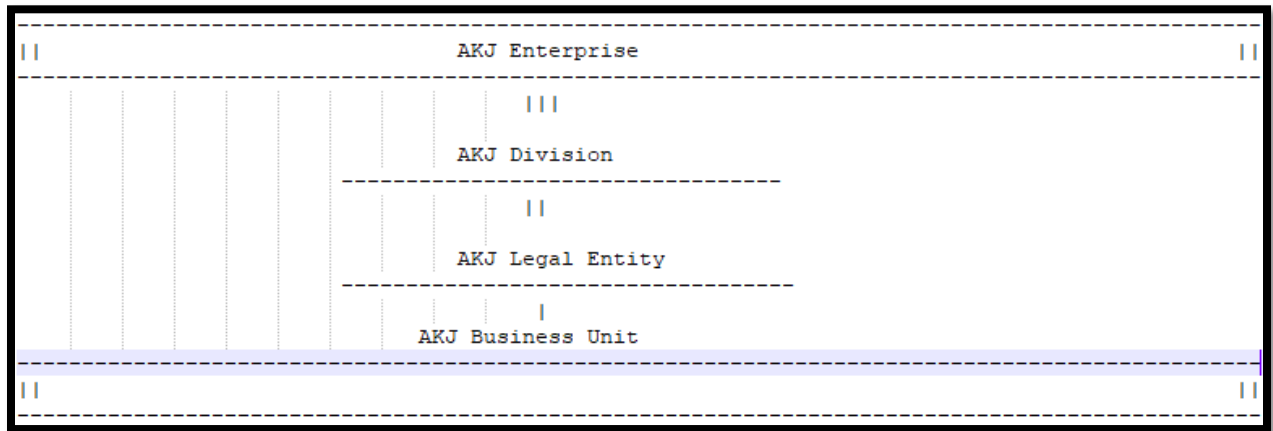
The tax line 1 = 100 (1000*10%)

The tax line 2= 55 ((1000+100)*5%)

So the rule of Tax 2=% of (Line+Tax1)

Setting up Location Based Taxes

The following is the Enterprise Structure which would be considered



Create / Update Location of Business Unit / Legal Entity/Supplier Address to the following

State= CA

County=YOLO

City=Woodland

Postal Code=95695

Country =United States

Manage Locations

ORACLE

Create Location

Back Review Save Submit Cancel



Basic Details

* Effective Start Date 1/1/18

* Location Set Common Set

Action Reason

Location Information

* Name Main Location

* Code Main Location

* Status Active

Inventory Organization

Description Location for Business Unit and Legal Entity

Main Address

* Country United States

* Address Line 1 625 Court Street

Address Line 2

Address Line 3

* City WOODLAND

* State CA

* ZIP Code 95695

Tax District

* County YOLO

Time Zone Code

Official Language

E-Mail

Geographic Hierarchy

Main Phone

Fax

Other Phone

Shipping Details

Ship-to Site ☒ Yes ☐ No

Receiving Site ☒ Yes ☐ No

Bill-to Site ☒ Yes ☐ No

Office Site ☒ Yes ☐ No

Designated Receiver

Save and Submit

 **Warning**

The request will be submitted. Do you want to continue? (HRC-1035163)

Yes No

FUSION TAX

Manage Business Units

Ensure to add the above location to the BU

Oracle Fusion Tax interface showing the 'Edit Business Unit' form. The form includes fields for Name (AKJ Business Unit), Location (Main Location), Manager, and Default Set (COMMON). There is a 'Save' button, a 'Save and Close' button, and a 'Cancel' button. A 'Common Set' label is also present.

Save and Close

Manage Legal Jurisdictions

Ensure the Territory is Woodland (City)

Oracle Fusion Tax interface showing the 'Edit Legal Jurisdiction: AKJ Jurisdiction' form. The form includes fields for Name (AKJ Jurisdiction), Identifying (Yes), Territory (WOODLAND), Start Date (1/1/18), Legislative Category (Transaction tax), End Date, and Registration Code Assignment (Legal Entity Registration Code: Corporate Business Number, Legal Reporting Unit Registration Code: Standard Company Number). There is a 'Save' button, a 'Save and Close' button, and a 'Cancel' button. A 'Legal Functions' section is also visible.

Save and Close

Manage Legal Addresses

Oracle Fusion Tax interface showing the 'Location Update' form. The form includes fields for Country (United States), Address Line 1 (625 Court Street), Address Line 2, City (WOODLAND), State (CA), Postal Code (95695), Time Zone, and HZ_Location1. There is an 'OK' button and a 'Cancel' button.

Ok

Manage Legal Entity

The screenshot shows the Oracle Fusion Tax interface for editing a legal entity. The main window is titled "Edit Legal Entity: AKJ HQ". It contains fields for Country (United States), Name, Legal Entity Identifier, Start Date, and End Date. Below these is a table for "Legal Entity Addresses" with columns for Primary and Address. A modal window titled "Edit Address" is open, showing fields for Mail Stop, Country (United States), Postal Code (95695), Time Zone, Address Line 1 (6250 Court Street), Address Line 2, City (WOODLAND), State (CA), From Date (5/21/18), To Date, HZ_Location1, and HZ_PartySite1. There are also checkboxes for "Payroll statutory unit" and "Legal employer". At the bottom of the modal is a section for "Address Purposes" with a table for Purpose and Columns Hidden (3).

Ok, Save and Close

Manage Legal Entity Registrations

The screenshot shows the Oracle Fusion Tax interface for editing a registration. The main window is titled "Edit Registration: AKJ HQ". It contains fields for Jurisdiction (United States Income Tax), Identifying (Yes), Territory (United States), Place Of Registration, Issuing Legal Authority, Registered Address (6250 Court Street, WOODLAND, CA), Registered Name (AKJ HQ), Alternate Name, Issuing Legal Authority Address, Start Date, End Date, and EIN or TIN (IF6071). There are buttons for Save, Save and Close, and Cancel.

Save and Close

Manage Tax Regimes

ORACLE

AP

Create Tax Regime

Save and CloseCancel

* Tax Regime CodeLocation_Regime

* Tax Regime NameLocation_Regime

* Regime LevelCountry

* CountryUnited States

Parent Regime Code

* Start Date1/1/18

End Date

☐ Used to group regimes

Controls and Defaults

Defaults

Tax CurrencyUSD - US Dollar

Minimum Accountable Unit0.01

Tax Precision0

Tax Inclusion MethodStandard noninclusive hand

Conversion Rate Type

Rounding RuleNearest

☐ Allow tax rounding override

Reporting Tax Authority

Collecting Tax Authority

☐ Use legal registration number

Configuration Options and Service Subscriptions						
Configuration Options						
Service Subscriptions						
View Format + Freeze Detach Wrap						
* Party Name	Party Type	Country	* Configuration for Taxes and Rules	* Configuration for Product Exceptions	Parent First-Party Organization	* Effective Start Date
AKJ Business Unit	Business unit ow...	United States	Common configuration	Common configuration		1/1/18

Save and Close

FUSION TAX

Manage Taxes

Create State Tax

ORACLE

Create Tax

Save Save and Close Save and Create Another Cancel

* Tax Regime Code LOCATION_REGIME

* Configuration Owner Global configuration o

* Tax State_tax

* Tax Name State_tax

Tax Type Sales tax

* Start Date 1/1/18

End Date

Enable tax for simulation

Enable tax for transactions

Tax Information

* Geography Type STATE

* Parent Geography Type COUNTRY

* Parent Geography Name United states

Override Geography Type

* Tax Currency USD - US Dollar

Tax Minimum Accountable Unit 0.01

Tax Precision 0

Conversion Rate Type

Rounding Rule Nearest

Compounding Precedence

Reporting Tax Authority

Collecting Tax Authority

Applied Amount Handling Prorated

Set as offset tax

Set tax for reporting purposes only

Controls and Defaults Tax Rule Defaults Tax Accounts Tax Reporting Codes Tax Jurisdictions

Controls

Tax Point Basis Invoice

Tax Inclusion Method Standard noninclusive handling

Allow override and entry of inclusive tax lines

Allow tax rounding override

Allow override of calculated tax lines

Allow entry of manual tax lines

Use legal registration number

Allow duplicate registration numbers

Allow multiple jurisdictions

Allow creation of multiple jurisdictions

Use in withholding tax calculation

Tax Accounts Controls

Tax Accounts Creation Method Create tax accounts

Tax Accounts Source

Tax Exceptions and Exemptions Controls and Defaults

Allow tax exceptions

Allow tax exemptions

Use tax exemptions from an existing tax

Tax Exemptions Source

Registration Number Controls and Defaults

Validation Type

Validation Level

Duplicate Validation Level

Controls and Defaults **Tax Rule Defaults** Tax Accounts Tax Reporting Codes Tax Jurisdictions

Direct Defaults

Place of Supply: Ship to, use bill to if:

Tax Calculation Formula: STANDARD_TC

Tax Applicability: Applicable

Taxable Basis Formula: STANDARD_TB

Tax Registration: Ship-from party

Indirect Defaults

View Format

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction			
Tax Status			
Tax Rate			

Tax Recovery Controls and Defaults

☒ Allow tax recovery ☒ Allow tax recovery rate override

* Primary Recovery Type: STANDARD

Secondary Recovery Type:

Save and Close

Create County Tax

ORACLE

Create Tax

* Tax Regime Code: LOCATION_REGIME

* Configuration Owner: Global configuration o

* Tax: County_tax

* Tax Name: County_tax

Tax Type: Sales tax

* Start Date: 1/1/18

End Date:

☐ Enable tax for simulation

☐ Enable tax for transactions

Tax Information

* Geography Type: COUNTY

* Parent Geography Type: STATE

* Parent Geography Name: CA

Override Geography Type:

* Tax Currency: USD - US Dollar

Tax Minimum Accountable Unit: 0.01

Tax Precision: 0

Conversion Rate Type:

Rounding Rule: Nearest

Compounding Precedence:

Reporting Tax Authority:

Collecting Tax Authority:

Applied Amount Handling: Prorated

☐ Set as offset tax

☐ Set tax for reporting purposes only

FUSION TAX

Controls and Defaults

Tax Rule Defaults

Tax Accounts

Tax Reporting Codes

Tax Jurisdictions

Controls

Tax Point Basis

Invoice

Tax Inclusion Method

Standard noninclusive handling

— Allow override and entry of inclusive tax lines

☒ Allow tax rounding override

☒ Allow override of calculated tax lines

☒ Allow entry of manual tax lines

☒ Use legal registration number

☒ Allow duplicate registration numbers

☒ Allow multiple jurisdictions

☒ Allow creation of multiple jurisdictions

☐ Use in withholding tax calculation

Tax Accounts Controls

Tax Accounts Creation Method

Create tax accounts

Tax Accounts Source

Tax Exceptions and Exemptions Controls and Defaults

☒ Allow tax exceptions

☒ Allow tax exemptions

☐ Use tax exemptions from an existing tax

Tax Exceptions Source

Registration Number Controls and Defaults

Validation Type

Duplicate Validation Level

Validation Level

Tax Recovery Controls and Defaults

☒ Allow tax recovery

☒ Allow tax recovery rate override

* Primary Recovery Type

STANDARD

Secondary Recovery Type

Controls and Defaults

Tax Rule Defaults

Tax Accounts

Tax Reporting Codes

Tax Jurisdictions

Direct Defaults

Place of Supply

Ship to, use bill to if :

Tax Applicability

Applicable

Tax Registration

Ship-from party

Tax Calculation Formula

STANDARD_TC

Taxable Basis Formula

STANDARD_TB

Indirect Defaults

View

Format

Create Default

Edit Default

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction			
Tax Status			
Tax Rate			

Save and Close

Create City Tax

ORACLE

Create Tax

Save Save and Close Save and Create Another Cancel

* Tax Regime Code LOCATION_REGIME

* Configuration Owner Global configuration o

* Tax City_tax

* Tax Name City_tax

Tax Type Sales tax

* Start Date 1/1/18

End Date

☐ Enable tax for simulation

☐ Enable tax for transactions

Tax Information

* Geography Type CITY

* Parent Geography Type COUNTY

* Parent Geography Name YOLO

Override Geography Type

* Tax Currency USD - US Dollar

Tax Minimum Accountable Unit 0.01

Tax Precision 0

Conversion Rate Type

Rounding Rule Nearest

Compounding Precedence

Reporting Tax Authority

Collecting Tax Authority

Applied Amount Handling Prorated

☐ Set as offset tax

☐ Set tax for reporting purposes only

Controls and Defaults Tax Rule Defaults Tax Accounts Tax Reporting Codes Tax Jurisdictions

Controls

Tax Point Basis Invoice

Tax Inclusion Method Standard noninclusive handling

— Allow override and entry of inclusive tax lines

☒ Allow tax rounding override

☒ Allow override of calculated tax lines

☒ Allow entry of manual tax lines

☒ Use legal registration number

☒ Allow duplicate registration numbers

☒ Allow multiple jurisdictions

☒ Allow creation of multiple jurisdictions

☐ Use in withholding tax calculation

Tax Accounts Controls

Tax Accounts Creation Method Create tax accounts

Tax Accounts Source

Tax Exceptions and Exemptions Controls and Defaults

☒ Allow tax exceptions

☒ Allow tax exemptions

☐ Use tax exemptions from an existing tax

Tax Exemptions Source

Registration Number Controls and Defaults

Validation Type

Validation Level

Duplicate Validation Level

Tax Recovery Controls and Defaults

☒ Allow tax recovery * Primary Recovery Type STANDARD ▼

☒ Allow tax recovery rate override Secondary Recovery Type ▼

Controls and Defaults **Tax Rule Defaults** Tax Accounts Tax Reporting Codes Tax Jurisdictions

Direct Defaults

Place of Supply Ship to, use bill to if: ▼ Tax Calculation Formula STANDARD_TC ▼

Tax Applicability Applicable ▼ Taxable Basis Formula STANDARD_TB ▼

Tax Registration Ship-from party ▼

Indirect Defaults

View ▼ Format ▼ **Create Default** Edit Default

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction			
Tax Status			
Tax Rate			

Save and Close

Manage Tax Statuses

Create Tax Status for State, County and City

ORACLE

Create Tax Status Save Save and Close Save and Create Another Cancel

* Tax Regime Code LOCATION_REGIME ▼

* Configuration Owner al configuration owner ▼

* Tax STATE_TAX ▼

* Tax Status Code State_Status

* Tax Status Name State_Status

* Start Date 1/1/18 📅

End Date 📅

☒ Set as default tax status

* Default Start Date 1/1/18 📅

Default End Date 📅

Controls and Defaults

☒ Allow tax exceptions ☒ Allow tax rate override

☒ Allow tax exemptions

Save and Create Another

ORACLE

Create Tax Status

Save Save and Close Save and Create Another Cancel

* Tax Regime Code LOCATION_REGIME

* Configuration Owner al configuration owner

* Tax COUNTY_TAX

* Tax Status Code County_Status

* Tax Status Name County_Status

* Start Date 1/1/18

End Date

☒ Set as default tax status

* Default Start Date 1/1/18

Default End Date

Controls and Defaults

☒ Allow tax exceptions

☒ Allow tax rate override

☒ Allow tax exemptions

Save and Create Another

ORACLE

Create Tax Status

Save Save and Close Save and Create Another Cancel

* Tax Regime Code LOCATION_REGIME

* Configuration Owner al configuration owner

* Tax CITY_TAX

* Tax Status Code City_Status

* Tax Status Name City_Status

* Start Date 1/1/18

End Date

☒ Set as default tax status

* Default Start Date 1/1/18

Default End Date

Controls and Defaults

☒ Allow tax exceptions

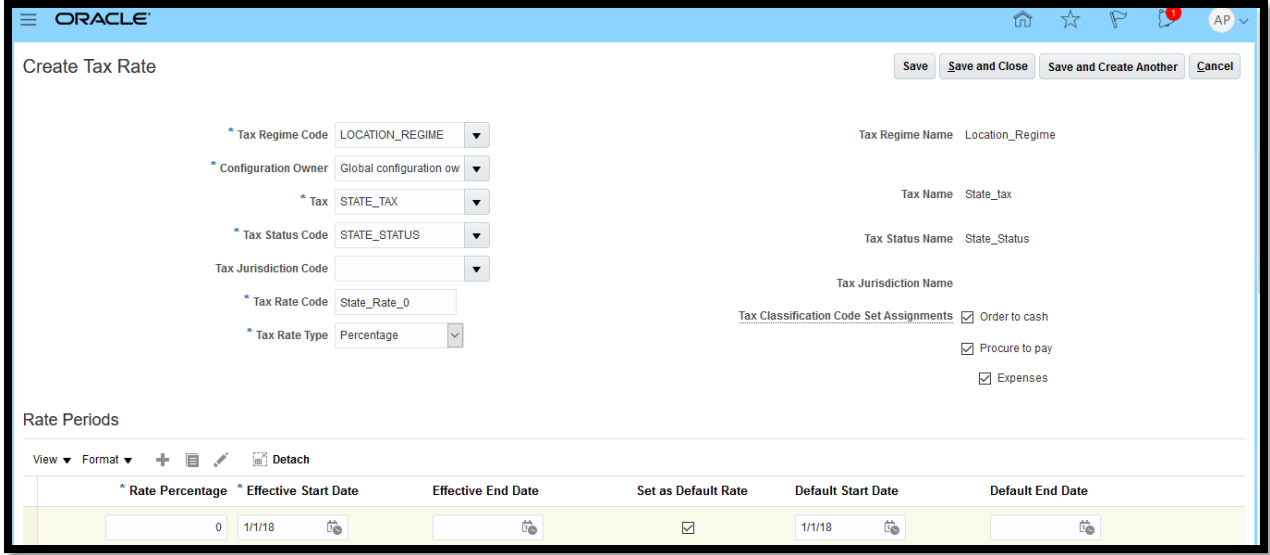
☒ Allow tax rate override

☒ Allow tax exemptions

Save and Close

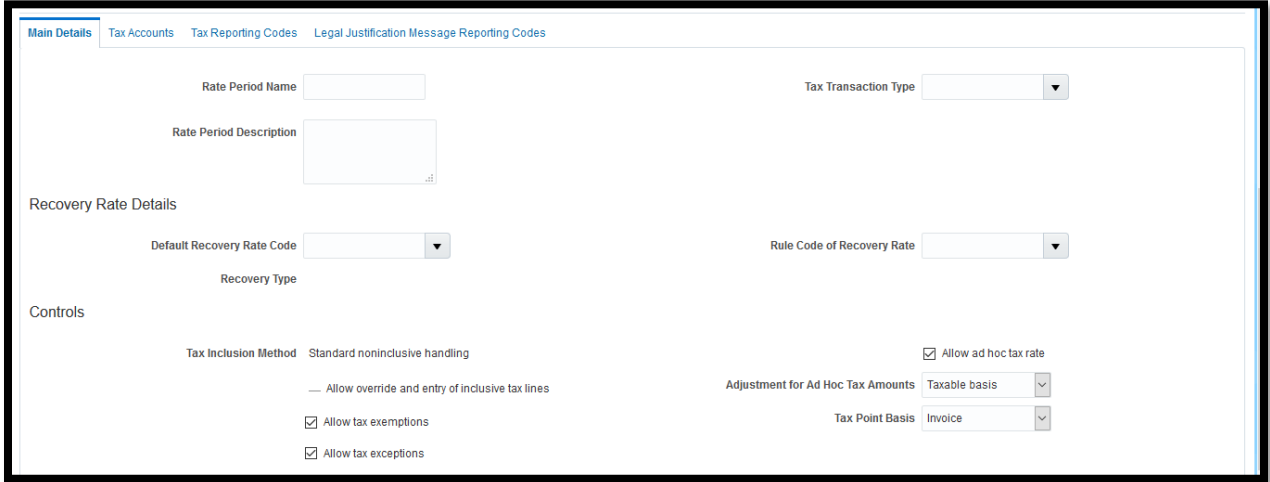
Manage Tax Rates and Recovery Rates

Create Tax Rates for State, County and City



The 'Create Tax Rate' form in Oracle Fusion Tax includes the following fields and sections:

- Buttons:** Save, Save and Close, Save and Create Another, Cancel.
- Fields:**
 - * Tax Regime Code: LOCATION_REGIME
 - * Configuration Owner: Global configuration ow
 - * Tax: STATE_TAX
 - * Tax Status Code: STATE_STATUS
 - Tax Jurisdiction Code
 - * Tax Rate Code: State_Rate_0
 - * Tax Rate Type: Percentage
 - Tax Regime Name: Location_Regime
 - Tax Name: State_tax
 - Tax Status Name: State_Status
 - Tax Jurisdiction Name
 - Tax Classification Code Set Assignments: ☒ Order to cash, ☒ Procure to pay, ☒ Expenses
- Rate Periods:** A table with columns: Rate Percentage, Effective Start Date, Effective End Date, Set as Default Rate, Default Start Date, Default End Date. The first row shows a rate of 0 starting on 1/1/18, set as the default rate, starting on 1/1/18.



The 'Main Details' form in Oracle Fusion Tax includes the following sections and fields:

- Tabs:** Main Details, Tax Accounts, Tax Reporting Codes, Legal Justification Message Reporting Codes.
- Fields:**
 - Rate Period Name
 - Rate Period Description
 - Tax Transaction Type
 - Default Recovery Rate Code
 - Recovery Type
 - Rule Code of Recovery Rate
- Controls:**
 - Tax Inclusion Method: Standard noninclusive handling
 - ☐ Allow override and entry of inclusive tax lines
 - ☒ Allow tax exemptions
 - ☒ Allow tax exceptions
 - ☒ Allow ad hoc tax rate
 - Adjustment for Ad Hoc Tax Amounts: Taxable basis
 - Tax Point Basis: Invoice

Save and Create Another

ORACLE

Create Tax Rate

Save Save and Close Save and Create Another Cancel

* Tax Regime Code LOCATION_REGIME
* Configuration Owner bal configuration owner
* Tax COUNTY_TAX
* Tax Status Code COUNTY_STATUS
Tax Jurisdiction Code
* Tax Rate Code County_Rate_1
* Tax Rate Type Percentage

Tax Regime Name Location_Regime
Tax Name County_tax
Tax Status Name County_Status
Tax Jurisdiction Name
Tax Classification Code Set Assignments ☒ Order to cash
☒ Procure to pay
☒ Expenses

Rate Periods

View Format + Detach

* Rate Percentage	* Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date
1	1/1/18		☒	1/1/18	

Main Details Tax Accounts Tax Reporting Codes Legal Justification Message Reporting Codes

Rate Period Name
Rate Period Description

Offset Rate Details
Offset Rate Code
Tax of Offset Rate

Recovery Rate Details
Default Recovery Rate Code
Recovery Type

Controls
Tax Inclusion Method Standard noninclusive handling
— Allow override and entry of inclusive tax lines
☒ Allow tax exemptions
☒ Allow tax exceptions

Tax Transaction Type
Tax Status Code of Offset Rate
Rule Code of Recovery Rate

☒ Allow ad hoc tax rate
Adjustment for Ad Hoc Tax Amounts Taxable basis
Tax Point Basis Invoice

Save and Create Another

ORACLE

Create Tax Rate

Save Save and Close Save and Create Another Cancel

* Tax Regime Code LOCATION_REGIME
* Configuration Owner Global configuration ow
* Tax CITY_TAX
* Tax Status Code CITY_STATUS
Tax Jurisdiction Code
* Tax Rate Code City_Rate_7
* Tax Rate Type Percentage

Tax Regime Name Location_Regime
Tax Name City_tax
Tax Status Name City_Status
Tax Jurisdiction Name
Tax Classification Code Set Assignments ☒ Order to cash
☒ Procure to pay
☒ Expenses

Rate Periods

View Format + Detach

* Rate Percentage	* Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date
7	1/1/18		☒	1/1/18	

Main Details Tax Accounts Tax Reporting Codes Legal Justification Message Reporting Codes

Rate Period Name
Rate Period Description

Offset Rate Details
Offset Rate Code
Tax of Offset Rate

Recovery Rate Details
Default Recovery Rate Code
Recovery Type

Controls
Tax Inclusion Method Standard noninclusive handling
— Allow override and entry of inclusive tax lines
☒ Allow tax exemptions
☒ Allow tax exceptions

Tax Transaction Type
Tax Status Code of Offset Rate
Rule Code of Recovery Rate

☒ Allow ad hoc tax rate
Adjustment for Ad Hoc Tax Amounts Taxable basis
Tax Point Basis Invoice

Save and Close

FUSION TAX

Create Tax Recovery Rates for State, County and City

ORACLE

1

AP

Create Tax Recovery Rate

Save

Save and Close

Save and Create Another

Cancel

* Tax Regime Code

LOCATION_REGIME

* Configuration Owner

Global configuration o

* Tax

STATE_TAX

* Tax Recovery Rate Code

State_Recovery_Rate

* Recovery Type

STANDARD

Tax Regime Name

Location_Regime

Rate Type

RECOVERY

Tax Name

State_tax

Recovery Rate Periods

View

Format

+

Detach

Wrap

* Rate Percentage	Recovery Rate Period Name	* Effective Start Date	Effective End Date	Set as Default Rate	* Default Start Date	Default End Date	Allow Ad Hoc Recovery Rate
100		1/1/18		☒	1/1/18		☒

100, 2018-01-01: Recovery Rate Account Details

View

Format

+

Detach

* Ledger	Business Unit	* Tax Recoverable Account
AKJ Primary Ledger US	AKJ Business Unit	01-110-30001

Save and Create Another

ORACLE

1

AP

Create Tax Recovery Rate

Save

Save and Close

Save and Create Another

Cancel

* Tax Regime Code

LOCATION_REGIME

* Configuration Owner

al configuration owner

* Tax

COUNTY_TAX

* Tax Recovery Rate Code

County_Recovery_Rat

* Recovery Type

STANDARD

Tax Regime Name

Location_Regime

Rate Type

RECOVERY

Tax Name

County_tax

Recovery Rate Periods

View

Format

+

Detach

Wrap

* Rate Percentage	Recovery Rate Period Name	* Effective Start Date	Effective End Date	Set as Default Rate	* Default Start Date	Default End Date	Allow Ad Hoc Recovery Rate
100		1/1/18		☒	1/1/18		☒

100, 2018-01-01: Recovery Rate Account Details

View

Format

+

Detach

* Ledger	Business Unit	* Tax Recoverable Account
AKJ Primary Ledger US	AKJ Business Unit	01-210-30001

Save and Create Another

ORACLE

Create Tax Recovery Rate

Save Save and Close Save and Create Another Cancel

* Tax Regime Code LOCATION_REGIME Tax Regime Name Location_Regime

* Configuration Owner Global configuration o Rate Type RECOVERY

* Tax CITY_TAX Tax Name City_tax

* Tax Recovery Rate Code City_Recovery_Rate

* Recovery Type STANDARD

Recovery Rate Periods

View Format + Detach Wrap

* Rate Percentage	Recovery Rate Period Name	* Effective Start Date	Effective End Date	Set as Default Rate	* Default Start Date	Default End Date	Allow Ad Hoc Recovery Rate
100		1/1/18		☒	1/1/18		☒

100, 2018-01-01: Recovery Rate Account Details

View Format + Detach

* Ledger	Business Unit	* Tax Recoverable Account
AKJ Primary Ledger US	AKJ Business Unit	01-310-30001

Save and Close

Associate the Tax Recovery Rates to the Tax Rates

Manage Tax Jurisdictions

Create Tax Jurisdiction for State, County, City

ORACLE

Create Tax Jurisdiction

Save Save and Close Save and Create Another Cancel

* Tax Jurisdiction Code State_Jurisdiction

* Tax Jurisdiction Name State_Jurisdiction

* Tax Regime Code LOCATION_REGIME

* Tax STATE_TAX

* Geography Type STATE

* Geography Name CA

Parent Geography Type COUNTRY

Parent Geography Name United States

☐ Inner city jurisdiction

* Precedence Level 300

View Precedence Details

Reporting Tax Authority

Collecting Tax Authority

* Start Date 1/1/18

End Date

Registration Number Controls and Defaults

Validation Type

Duplicate Validation Level

Validation Level

Default Information

☒ Set as default jurisdiction

* Default Start Date 1/1/18

Default End Date

Save and Create Another

Oracle Fusion Tax interface showing the 'Create Tax Jurisdiction' form. The form includes fields for Tax Jurisdiction Code, Tax Jurisdiction Name, Tax Regime Code, Tax, Geography Type, Geography Name, Parent Geography Type, and Parent Geography Name. It also includes checkboxes for Inner city jurisdiction, Precedence Level, Reporting Tax Authority, Collecting Tax Authority, Start Date, and End Date. The form is titled 'Create Tax Jurisdiction' and has buttons for Save, Save and Close, Save and Create Another, and Cancel.

Default Information section showing the 'Set as default jurisdiction' checkbox checked. It also includes fields for Default Start Date and Default End Date.

Save and Create Another

Oracle Fusion Tax interface showing the 'Create Tax Jurisdiction' form. The form includes fields for Tax Jurisdiction Code, Tax Jurisdiction Name, Tax Regime Code, Tax, Geography Type, Geography Name, Parent Geography Type, and Parent Geography Name. It also includes checkboxes for Inner city jurisdiction, Precedence Level, Reporting Tax Authority, Collecting Tax Authority, Start Date, and End Date. The form is titled 'Create Tax Jurisdiction' and has buttons for Save, Save and Close, Save and Create Another, and Cancel.

Default Information section showing the 'Set as default jurisdiction' checkbox checked. It also includes fields for Default Start Date and Default End Date.

Save and Close

FUSION TAX

Enable all the 3 taxes

Create an invoice

Create Invoice: MJIN_LOC_1

Invoice Actions

Save and Create NextSaveSave and CloseCancel

Last Saved 5/25/18 9:18 AM

Invoice Header

Show More

Identifying PO

Business Unit AKJ Business Unit

Supplier ORPAT

Supplier Number 1526453515

Supplier Site Orpat Main-Pay

Legal Entity AKJ HQ

Invoice Group

* Number MJIN_LOC_1

* Amount USD 108.00

Type Standard

Description

* Date 5/25/18

* Payment Terms Immediate

* Terms Date 5/25/18

Requester

Attachments None

Note

Invoice Summary

Status

Validation Validated

Accounting Unaccounted

Paid Unpaid

Canceled No

Holds

Installments 0

Line Variance 0

Distribution Variance 0

Manual Holds 0

Lines

Match Invoice Lines

View

+

Detach

Allocate

Cancel Line

Distributions

Distribution

Reference

Tax

Purchase Order

Asset

Project

* Number	* Type	* Amount	Distribution					
			Distribution Set	Distribution Combination	Accounting Date	Prorate Across All Item Lines	Desc	
1	Item	100.00		01-210-20001	5/25/18			

Taxes

Transaction Taxes

Withholding Taxes

View

Detach

Override Tax Amount

Apply

Edit Taxes

Manage Tax Details

Line	Rate Name	Rate	Amount	Canceled	Inclusive	Self-Assessed	Tax Only Line	Regime	Tax
2	CITY_RATE_7	7	7.00	—	—	—	—	Location_Regime	City_
3	COUNTY_RATE_1	1	1.00	—	—	—	—	Location_Regime	Coui
4	STATE_RATE_0	0	0.00	—	—	—	—	Location_Regime	State
Total			8.00		0.00	0.00			

Totals

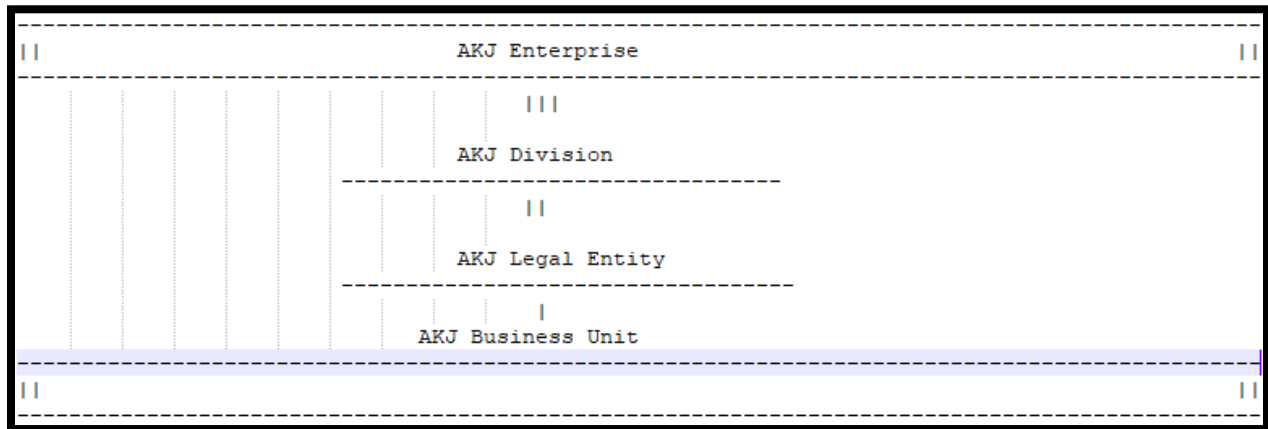
Items	Freight	Miscellaneous	Tax	Included Prepayments	Total
100.00	0.00	0.00	8.00	0.00	108.00
			Withholding	Applied Prepayments	Due
			0.00	0.00	108.00

See that all the 3 taxes i.e. State, County and City taxes got applied.

Page 18 | 18

Setting up Offset Taxes

The following is the Enterprise Structure which would be considered



What is Offset Tax?

An offset tax calculates and records third party Payables tax liabilities for reverse charges, self-assessments, and, in the United States, Consumer's Use tax. An offset tax record is a matching, duplicate record with negative amounts that reduces or completely offsets the tax liability recorded in the tax transaction. Use offset taxes when the tax requirement includes creating offset general ledger postings.

You cannot update the recovery rate on an offset tax line. The recovery rate is always 100% in order to create credit entries that match the original tax amounts. When you create an offset tax, you enter a primary recovery type with a recoverable rate of 100% and a 100% recovery rate.

Manage Party Tax Profiles

Search for =Third Party Tax Profile

Ensure to enable the “Allow offset Taxes”

The screenshot shows the 'Edit Third-Party Tax Profile' page for ORPAT, CDRM_695736. The page has a blue header with the Oracle logo and navigation icons. Below the header, the title 'Edit Third-Party Tax Profile: ORPAT, CDRM_695736' is displayed. To the right of the title are buttons for 'Save', 'Save and Close', and 'Cancel'. The main content area is divided into two sections: 'Party Information' and 'Transaction Tax'. The 'Party Information' section includes fields for 'Party Name' (ORPAT), 'Party Number' (CDRM_695736), 'Party Usage' (Supplier), 'Address' (36454,,WOODLAND,95695,United States), and 'Country' (United States). The 'Transaction Tax' section has tabs for 'Controls and Defaults', 'Classifications', and 'Tax Reporting Codes'. Under 'Controls and Defaults', there are checkboxes for 'Allow tax applicability' and 'Allow offset taxes', both of which are checked. There are also dropdown menus for 'Rounding Level' (Header), 'Rounding Rule' (Nearest), 'Set Invoice Values as Tax Inclusive', and 'Tax Classification Code'.

Save and Close

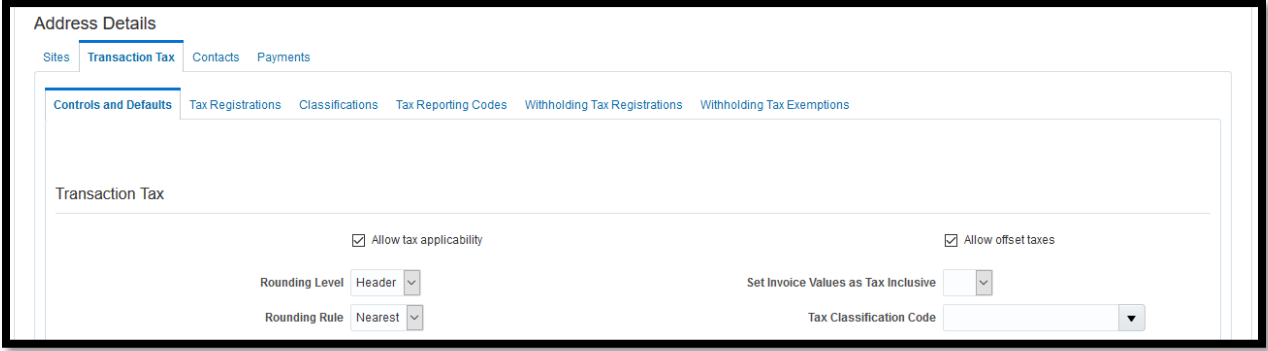
Search for=Third-Party Site Tax Profile

Ensure to enable the “Allow offset Taxes”

The screenshot shows the 'Edit Third-Party Site Tax Profile' page for Orpat Main-Pay, CDRM_543528. The page has a blue header with the Oracle logo and navigation icons. Below the header, the title 'Edit Third-Party Site Tax Profile: Orpat Main-Pay, CDRM_543528' is displayed. To the right of the title are buttons for 'Save', 'Save and Close', and 'Cancel'. The main content area is divided into two sections: 'Party Site Information' and 'Transaction Tax'. The 'Party Site Information' section includes fields for 'Party Site Name' (Orpat Main-Pay), 'Party Site Number' (CDRM_543528), 'Party Name' (ORPAT), 'Party Number' (CDRM_695736), 'Party Usage' (Supplier), 'Address' (36454,,WOODLAND,95695,United States), and 'Country' (United States). The 'Transaction Tax' section has tabs for 'Controls and Defaults', 'Classifications', and 'Tax Reporting Codes'. Under 'Controls and Defaults', there are checkboxes for 'Allow tax applicability' and 'Allow offset taxes', both of which are checked.

Save and Close

Ensure to also enable the "Allow Offset Taxes" at address level for the supplier



Address Details

Sites **Transaction Tax** Contacts Payments

Controls and Defaults Tax Registrations Classifications Tax Reporting Codes Withholding Tax Registrations Withholding Tax Exemptions

Transaction Tax

☒ Allow tax applicability ☒ Allow offset taxes

Rounding Level Header

Rounding Rule Nearest

Set Invoice Values as Tax Inclusive

Tax Classification Code

Manage Tax Regimes

ORACLE

AP

Edit Tax Regime: STANDARD_REGIME

STANDARD_REGIME

Save Save and Close Cancel

Tax Regime Code STANDARD_REGIME

Parent Regime Code

* Tax Regime Name Standard_Regime

* Start Date 1/1/18

Regime Level Country

End Date

Country United States

Used to group regimes

Controls and Defaults

Defaults

Tax Currency USD - US Dollar

Minimum Accountable Unit 0.01

Tax Precision 0

Conversion Rate Type

Tax Inclusion Method Standard noninclusive h

Rounding Rule Nearest

☒ Allow tax rounding override

Collecting Tax Authority

Reporting Tax Authority

☐ Use legal registration number

General Controls

☐ Allow override and entry of inclusive tax lines

☐ Use tax reporting configuration

Registration Number Controls and Defaults

Validation Type

Duplicate Validation Level

Validation Level

Compounding Level Controls

☐ Allow cross regime compounding

Compounding Precedence

Associated Taxes Setup Information

☒ Allow multiple jurisdictions

☒ Allow tax exceptions

☒ Allow tax recovery

☒ Allow tax exemptions

Configuration Options and Service Subscriptions

Configuration Options Service Subscriptions

View Format Freeze Detach Wrap

* Party Name	Party Type	Country	* Configuration for Taxes and Rules	* Configuration for Product Exceptions	Parent First-Party Organization	* Effective Start Date
AKJ Business Unit	Business unit ow...	United States	Common configuration	Common configuration		1/1/18

Save and Close

FUSION TAX

Manage Taxes

Create an offset Tax

ORACLE

AP

SaveSave and CloseCancel

Tax Regime CodeSTANDARD_REGIME

Tax TypeOffset tax

Configuration OwnerGlobal configuration owner

* Start Date1/1/18

TaxOFFSET_TAX

End Date

Tax NameOffset_Tax

Self-Assessed Differential Tax

☒ Enable tax for simulation

☒ Enable tax for transactions

Tax Information

Geography TypeCOUNTRY

Parent Geography TypeCOUNTRY

Parent Geography NameUnited States

Override Geography Type

* Tax CurrencyUSD - US Dollar

Tax Minimum Accountable Unit0.01

Tax Precision0

Conversion Rate Type

Rounding RuleNearest

Compounding Precedence

Reporting Tax Authority

Collecting Tax Authority

Applied Amount HandlingProrated

☒ Set as offset tax

☐ Set tax for reporting purposes only

Controls and Defaults

Tax Rule Defaults

Tax Accounts

Tax Reporting Codes

Tax Jurisdictions

Tax Accounts Controls

Tax Accounts Creation MethodCreate tax accounts

Tax Accounts Source

Registration Number Controls and Defaults

Validation Type

Validation Level

Duplicate Validation Level

Offset Tax Recovery

☒ Allow tax recovery

Primary Recovery TypeSTANDARD

Controls and Defaults

Tax Rule Defaults

Tax Accounts

Tax Reporting Codes

Tax Jurisdictions

Indirect Defaults

ViewFormatCreate DefaultEdit Default

Type	Default Value	Default Start Date	Default End Date
Tax Status	OFFSET_STATUS	1/1/18	
Tax Recovery Rate	OFFSET_RECOVERY_RATE	1/1/18	
Tax Rate	OFFSET_RATE_12	1/1/18	

Save and Close

Manage Tax Statuses

The screenshot shows the 'Edit Tax Status' form for 'OFFSET_STATUS'. The form is titled 'Edit Tax Status: OFFSET_STATUS' and includes a breadcrumb 'STANDARD_REGIME Global configuration owner'. The form contains several fields: 'Tax Regime Code' (STANDARD_REGIME), 'Configuration Owner' (Global configuration owner), 'Tax' (OFFSET_TAX), 'Tax Status Code' (OFFSET_STATUS), and 'Tax Status Name' (Offset_Status). There are also date fields for 'Start Date' (1/1/18), 'End Date', 'Default Start Date' (1/1/18), and 'Default End Date'. A checkbox 'Set as default tax status' is checked. The form has buttons for 'Save', 'Save and Close', and 'Cancel'.

Save and Close

Manage Tax Rates and Tax Recovery Rates

The screenshot shows the 'Tax Rate' form for 'OFFSET_RATE_12'. The form is titled 'Tax Rate: OFFSET_RATE_12' and includes a breadcrumb 'STANDARD_REGIME Global configuration owner'. The form contains several fields: 'Tax Regime Code' (STANDARD_REGIME), 'Configuration Owner' (Global configuration owner), 'Tax' (OFFSET_TAX), 'Tax Status Code' (OFFSET_STATUS), 'Tax Jurisdiction Code', 'Tax Rate Code' (OFFSET_RATE_12), 'Tax Rate Type' (Percentage), 'Tax Regime Name' (Standard_Regime), 'Tax Name' (Offset_Tax), 'Tax Status Name' (Offset_Status), and 'Tax Jurisdiction Name'. There is a link 'Tax classification code set assignments'. Below the form is a 'Rate Periods' section with a table. The table has columns: 'Rate Percentage', 'Effective Start Date', 'Effective End Date', 'Set as Default Rate', 'Default Start Date', and 'Default End Date'. The table contains one row with the following values: '-12', '1/1/18', an empty cell, a checkmark, '1/1/18', and an empty cell.

Rate Percentage	Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date
-12	1/1/18		✓	1/1/18	

Save and Close

Save and Close

12, 2018-01-01: Rate Period Details

Main Details

Tax Accounts

Tax Reporting Codes

Legal Justification Message Reporting Codes

Offset Rate Details

Offset Rate Code

OFFSET_RATE_12

Tax Status Code of Offset Rate

OFFSET_STATUS

Tax of Offset Rate

OFFSET_TAX

Recovery Rate Details

Default Recovery Rate Code

STANDARD_RECOVERY_RATE

Rule Code of Recovery Rate

Recovery Type

STANDARD

Controls

Tax Inclusion Method

☒ Allow ad hoc tax rate

☐ Allow override and entry of inclusive tax lines

Adjustment for Ad Hoc Tax Amounts

Taxable basis

☒ Allow tax exemptions

Tax Point Basis

Invoice

☒ Allow tax exceptions

Create Offset tax recovery rate (Expectation is base tax has the Recovery Rate also)

ORACLE

Tax Recovery Rate: OFFSET_RECOVERY_RATE

STANDARD_REGIME Global configuration owner | Edit Done

Tax Regime Code	STANDARD_REGIME	Tax Regime Name	Standard_Regime
Configuration Owner	Global configuration owner	Rate Type	RECOVERY
Tax	OFFSET_TAX	Tax Name	Offset_Tax
Tax Recovery Rate Code	OFFSET_RECOVERY_RATE		
Recovery Type	STANDARD		

Recovery Rate Periods

View Format + - Detach Wrap

Rate Percentage	Recovery Rate Period Name	Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date	Allow Ad Hoc Recovery Rate
100		1/1/18		✓	1/1/18		—

100, 2018-01-01: Recovery Rate Account Details

View Format + - Detach

Ledger	Business Unit	Tax Recoverable Account
AKJ Primary Ledger US	AKJ Business Unit	01-110-30001

Save and Close

Attach the Offset Recovery Rate to the Offset Tax Rate

ORACLE

Tax Rate: OFFSET_RATE_12

STANDARD_REGIME Global configuration owner | Edit Done

Tax Regime Code	STANDARD_REGIME	Tax Regime Name	Standard_Regime
Configuration Owner	Global configuration owner	Tax Name	Offset_Tax
Tax	OFFSET_TAX	Tax Status Name	Offset_Status
Tax Status Code	OFFSET_STATUS	Tax Jurisdiction Name	
Tax Jurisdiction Code			
Tax Rate Code	OFFSET_RATE_12		Tax classification code set assignments
Tax Rate Type	Percentage		

Rate Periods

View Format + - Detach

Rate Percentage	Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date
-12	1/1/18		✓	1/1/18	

-12, 2018-01-01: Rate Period Details

Main Details | Tax Accounts | Tax Reporting Codes | Legal Justification Message Reporting Codes

Offset Rate Details

Offset Rate Code _____ Tax Status Code of Offset Rate _____

Tax of Offset Rate _____

Recovery Rate Details

Default Recovery Rate Code OFFSET_RECOVERY_RATE Rule Code of Recovery Rate _____

Recovery Type STANDARD

Controls

Tax Inclusion Method _____

___ Allow override and entry of inclusive tax lines

___ Allow ad hoc tax rate

Adjustment for Ad Hoc Tax Amounts Taxable basis

Tax Point Basis Invoice

Save and Close

Enable Offset tax for transaction

Manage Configuration Owner Tax Options

Ensure that "Allow offset Tax Calculation" is enabled and the Offset Tax Basis should be set to "Ship-from Party"

ORACLE

Edit Configuration Owner Tax Options: AKJ Business Unit

AKJ Business Unit Payables Standard In | Save | Save and Close | Cancel

Configuration Owner AKJ Business Unit

Party Type Business unit owning tax content

Application Name Payables

Event Class Standard Invoices

Entity Name Purchase Invoices

Start Date 1/9/18

End Date

☒ Enable

Default Tax Options

Rounding Precedence 1 _____

Rounding Precedence 2 _____

Rounding Precedence 3 _____

Rounding Precedence 4 _____

Rounding Level Header

___ Allow exemptions

Regime Determination Set Stcc

Default Tax Point Basis Invoice

___ Enforce tax from account

☒ Allow offset tax calculation

Offset Tax Basis Ship-from party

☒ Allow tax applicability

☒ Allow entry of manual tax lines

☒ Allow recalculation of manual tax lines

☒ Show tax calculation errors on transactions

☒ Allow override of calculated tax lines

☒ Perform additional applicability for imported documents
☐ Enforce tax from reference document

☒ Allow override and entry of inclusive tax lines
☒ Allow supplier tax variance calculation

Tax Tolerance

Tolerance Percentage
 Tolerance Range Amount

Receipt Tax Options

☒ Allow delivery-based tax calculation

Report Delivery-Based Taxes on: Receipt
 Tax Point Date: Receipt date
 Tax Point Basis: Delivery

Save and Close & Create an Invoice

ORACLE

Create Invoice: MJINV_OFFSET_12

Invoice Actions: Save and Create Next, Save, Save and Close, Cancel

Last Saved: 5/24/18 4:55 AM

Invoice Header Show More

Identifying PO: _____
 Business Unit: AKJ Business Unit
 Supplier: ORPAT
 Supplier Number: 1526453515
 Supplier Site: Orpat Main-Pay
 Legal Entity: AKJ HQ
 Invoice Group: _____

* Number: MJINV_OFFSET_12
 * Amount: USD 100.00
 Type: Standard
 Description: _____

* Date: 5/24/18
 * Payment Terms: Immediate
 * Terms Date: 5/24/18
 Requester: _____
 Attachments: None
 Note: _____

Invoice Summary

Status

Validation	Validated
Accounting	Unaccounted
Paid	Unpaid
Canceled	No

Holds

Installments	0
Line Variance	0
Distribution Variance	0
Manual Holds	0

Lines Match Invoice Lines

View: +, -, X, [Icon], [Icon] Detach Allocate Cancel Line Distributions

Distribution Reference Tax Purchase Order Asset Project

* Number	* Type	* Amount	Distribution Set	Distribution Combination	Accounting Date	Prorate Across All Item Lines	Desc
1	Item	100.00		01-210-20001	5/24/18	☐	

Taxes

Transaction Taxes Withholding Taxes

View: [Icon] Detach Override Tax Amount Apply Edit Taxes Manage Tax Details

Line	Rate Name	Rate	Amount	Canceled	Inclusive	Self-Assessed	Tax Only Line	Regime	Tax
2	OFFSET_RATE_12	-12	-12.00	—	—	—	—	Standard_Regime	Offset
3	STANDARD_RATE_12	12	12.00	—	—	—	—	Standard_Regime	Standard
Total			0.00		0.00	0.00			

Totals

Items	100.00	Freight	0.00	Miscellaneous	0.00	Tax	0.00	Included Prepayments	0.00	Total	100.00
-------	--------	---------	------	---------------	------	-----	------	----------------------	------	--------------	---------------

System Holds

System Holds	0
Supplier Site	No

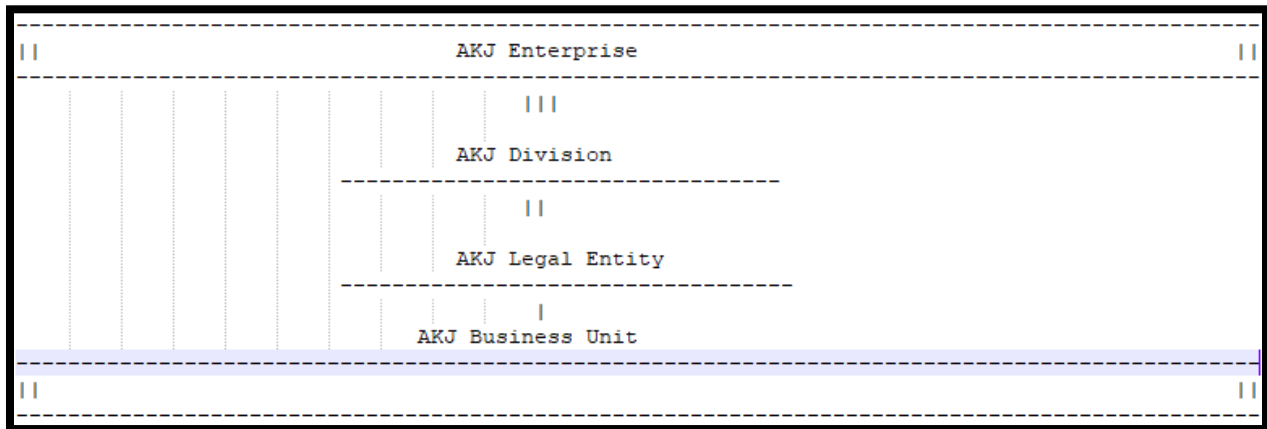
Payments

Due Date	5/24/18
Payments	0.00 USD

See that there are 2 tax line negating the tax effect.

Setting up Tax Classification/Rate Code based Tax Rule

The following is the Enterprise Structure which we would be implementing



Log on to application_implementation_consultant

Query for 'Tax% Configuration%'

Click on Define Tax Configuration

Manage Tax Regimes

The screenshot shows the 'Create Tax Regime' form in Oracle Fusion Tax. The form is divided into several sections:

- Header:** Includes the Oracle logo and navigation icons.
- Form Fields:**
 - * Tax Regime Code:** AKJ_VAT_REGIME
 - * Tax Regime Name:** AKJ_VAT_REGIME
 - * Regime Level:** Country
 - * Country:** United States
 - Parent Regime Code:** (Dropdown menu)
 - * Start Date:** 1/1/18
 - End Date:** (Calendar icon)
 - ☐ Used to group regimes
- Controls and Defaults:**
 - Defaults:**
 - Tax Currency:** USD - US Dollar
 - Minimum Accountable Unit:** 0.01
 - Tax Precision:** 2
 - Tax Inclusion Method:** Standard noninclusive hand
 - Conversion Rate Type:** (Dropdown menu)
 - Rounding Rule:** Nearest
 - ☐ Allow tax rounding override
 - Reporting Tax Authority:** (Dropdown menu)
 - Collecting Tax Authority:** (Dropdown menu)
 - ☐ Use legal registration number

- Buttons:** Save and Close, Cancel

General Controls

☒ Allow override and entry of inclusive tax lines ☐ Use tax reporting configuration

Registration Number Controls and Defaults

Validation Type Duplicate Validation Level

Validation Level

Compounding Level Controls

☐ Allow cross regime compounding Compounding Precedence

Configuration Options and Service Subscriptions

Configuration Options Service Subscriptions

View Format + Freeze Detach Wrap

* Party Name	Party Type	Country	* Configuration for Taxes and Rules	* Configuration for Product Exceptions	Parent First-Party Organization	* Effective Start Date
AKJ Business Unit	Business unit ow...	United States	Common configuration with party overrid	Common configuration		1/1/18

Save and Close

Manage Taxes

ORACLE

Create Tax

Save Save and Close Save and Create Another Cancel

* Tax Regime Code AKJ_VAT_REGIME

* Configuration Owner Global configuration o

* Tax AKJ_VAT_TAX

* Tax Name AKJ_VAT_TAX

Tax Type VAT

* Start Date 1/1/18

End Date

☐ Enable tax for simulation

☐ Enable tax for transactions

Tax Information

* Geography Type COUNTRY

Parent Geography Type COUNTRY

Parent Geography Name United States

Override Geography Type

* Tax Currency USD - US Dollar

Tax Minimum Accountable Unit 0.01

Tax Precision 2

Conversion Rate Type

Rounding Rule Nearest

Compounding Precedence

Reporting Tax Authority

Collecting Tax Authority

Applied Amount Handling Prorated

☐ Set as offset tax

☐ Set tax for reporting purposes only

FUSION TAX

Controls and Defaults

Tax Rule Defaults

Tax Accounts

Tax Reporting Codes

Tax Jurisdictions

Controls

Tax Point Basis

Invoice

Tax Inclusion Method

Standard noninclusi

☒ Allow override and entry of inclusive tax lines

☒ Allow tax rounding override

☒ Allow override of calculated tax lines

☒ Allow entry of manual tax lines

☐ Use legal registration number

☒ Allow duplicate registration numbers

☒ Allow multiple jurisdictions

☐ Allow creation of multiple jurisdictions

☒ Use in withholding tax calculation

Tax Accounts Controls

Tax Accounts Creation Method

Create tax accounts

Tax Accounts Source

Tax Exceptions and Exemptions Controls and Defaults

☒ Allow tax exceptions

☒ Allow tax exemptions

☐ Use tax exemptions from an existing tax

Tax Exemptions Source

Registration Number Controls and Defaults

Validation Type

Validation Level

Duplicate Validation Level

Tax Recovery Controls and Defaults

☒ Allow tax recovery

☐ Allow tax recovery rate override

* Primary Recovery Type

STANDARD

Secondary Recovery Type

Controls and Defaults

Tax Rule Defaults

Tax Accounts

Tax Reporting Codes

Tax Jurisdictions

Direct Defaults

Place of Supply

Ship to, use bill to if :

Tax Applicability

Applicable

Tax Registration

Ship-from party

Tax Calculation Formula

STANDARD_TC

Taxable Basis Formula

STANDARD_TB

Indirect Defaults

View

Format

Create Default

Edit Default

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction			
Tax Status			
Tax Rate			

Save and Close

Manage Tax Statutes

Click +

The screenshot shows the 'Create Tax Status' form in the Oracle Fusion Tax application. The form is titled 'Create Tax Status' and has a blue header bar with the Oracle logo and navigation icons. The form contains several input fields and buttons. The 'Tax Regime Code' is set to 'AKJ_VAT_REGIME'. The 'Configuration Owner' is 'Global configuration o'. The 'Tax' is 'AKJ_VAT_TAX'. The 'Tax Status Code' is 'AKJ_VAT_STATUS'. The 'Tax Status Name' is 'AKJ_VAT_STATUS'. The 'Start Date' is '1/1/18'. The 'End Date' is empty. The 'Set as default tax status' checkbox is checked. The 'Default Start Date' is '1/1/18'. The 'Default End Date' is empty. The 'Controls and Defaults' section has three checkboxes: 'Allow tax exceptions' (checked), 'Allow tax exemptions' (checked), and 'Allow tax rate override' (checked). The buttons at the top right are 'Save', 'Save and Close', 'Save and Create Another', and 'Cancel'.

Save and Close

Manage Tax Jurisdictions

Click +

The screenshot shows the 'Create Tax Jurisdiction' form in the Oracle Fusion Tax application. The form is titled 'Create Tax Jurisdiction' and has a blue header bar with the Oracle logo and navigation icons. The form contains several input fields and buttons. The 'Tax Jurisdiction Code' is 'AKJ_VAT_JURIS'. The 'Tax Jurisdiction Name' is 'AKJ_VAT_JURIS'. The 'Tax Regime Code' is 'AKJ_VAT_REGIME'. The 'Tax' is 'AKJ_VAT_TAX'. The 'Geography Type' is 'COUNTRY'. The 'Geography Name' is 'United States'. The 'Parent Geography Type' is 'North American Sales'. The 'Parent Geography Name' is 'GLOBAL_REGION'. The 'Precedence Level' is '300'. The 'Inner city jurisdiction' checkbox is unchecked. The 'View Precedence Details' button is visible. The 'Reporting Tax Authority' and 'Collecting Tax Authority' are empty. The 'Start Date' is '1/1/18'. The 'End Date' is empty. The 'Registration Number Controls and Defaults' section has two dropdowns: 'Validation Type' and 'Duplicate Validation Level'. The 'Default Information' section has a checkbox 'Set as default jurisdiction' (checked) and two date fields: 'Default Start Date' (1/1/18) and 'Default End Date' (empty). The buttons at the top right are 'Save', 'Save and Close', 'Save and Create Another', and 'Cancel'.

Save and Close

Manage Tax Rates and Tax Recovery Rates

Click +

ORACLE

Create Tax Rate

Save Save and Close Save and Create Another Cancel

* Tax Regime Code AKJ_VAT_REGIME Tax Regime Name AKJ_VAT_REGIME

* Configuration Owner Global configuration ow Tax Name AKJ_VAT_TAX

* Tax AKJ_VAT_TAX Tax Status Name AKJ_VAT_STATUS

* Tax Status Code AKJ_VAT_STATUS Tax Jurisdiction Name

Tax Jurisdiction Code Tax Rate Code AKJ_VAT_17 Tax Classification Code Set Assignments ☒ Order to cash

* Tax Rate Type Percentage ☒ Procure to pay

☒ Expenses

Rate Periods

View Format + Detach

* Rate Percentage	Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date
17	1/1/18		☒	1/1/18	

Save and Close

Create a Tax Recovery Rate

Ensure to set the Rate Type at the Header as "Tax Recovery Rates"

Create Tax Recovery Rate

Save Save and Close Save and Create Another Cancel

* Tax Regime Code AKJ_VAT_REGIME Tax Regime Name AKJ_VAT_REGIME

* Configuration Owner Global configuration o Rate Type RECOVERY

* Tax AKJ_VAT_TAX Tax Name AKJ_VAT_TAX

* Tax Recovery Rate Code AKJ_REC_RATE_100

* Recovery Type STANDARD

Recovery Rate Periods

View Format + Detach Wrap

* Rate Percentage	Recovery Rate Period Name	* Effective Start Date	Effective End Date	Set as Default Rate	* Default Start Date	Default End Date	Allow Ad Hoc Recovery Rate
100		1/1/18		☒	1/1/18		—

100, 2018-01-01: Recovery Rate Account Details

View Format + Detach

* Ledger	Business Unit	* Tax Recoverable Account
AKJ Primary Ledger US	AKJ Business Unit	01-210-30001

Save and Close

Manage Party Tax Profiles

Search For= Business Unit Profiles

The screenshot shows the 'Edit Business Unit Tax Profile' screen for 'AKJ Business Unit'. The 'Configuration Options' tab is selected. The table below lists the configuration options.

* Tax Regime Code	Regime Type	Tax Regime Name	Country	Tax Geography Type	Tax Geography Name	* Configuration for Taxes and Rules	* Configuration for Product Exceptions
AKJ_VAT_REGIME	Indirect tax	AKJ_VAT_REGIME	United States			Common configuration with party overrides	Common configuration

The screenshot shows the 'Edit Business Unit Tax Profile' screen for 'AKJ Business Unit'. The 'Application Tax Options' tab is selected. The table below lists the application tax options.

Application Name	Defaulting Order 1	Defaulting Order 2	Defaulting Order 3	Defaulting Order 4	Defaulting Order 5	Defaulting Order 6	Financial Options Tax Classification	Tax Determination Method	Enabled
Payables	Supplier	Supplier site						Oracle Fusion Tax	✓

Save and Close

Search For = Third-Party Tax Profiles

The screenshot shows the 'Edit Third-Party Tax Profile' page in Oracle Fusion Tax. The profile name is 'ORPAT, CDRM_695736'. The page includes tabs for 'Controls and Defaults', 'Classifications', and 'Tax Reporting Codes'. Under 'Controls and Defaults', the 'Transaction Tax' section is visible, showing options for 'Allow tax applicability' (checked), 'Allow offset taxes' (unchecked), 'Rounding Level' (Header), 'Rounding Rule' (Nearest), 'Set Invoice Values as Tax Inclusive' (unchecked), and 'Tax Classification Code' (empty).

Save and Close

Manage Tax Rules

Choose the Rule Type as Tax Rate Rules

Create a Determining Factor Set from Rule creation page

The screenshot shows the 'Create Determine Tax Rate Rule: Tax Determining Factors' page. It includes a progress bar with three steps: 'Tax Determining Factors' (current), 'Tax Condition Set', and 'Rule Status and Order'. The page has buttons for 'Back', 'Next', 'Submit', and 'Cancel'. The 'Rule Details' section contains fields for 'Configuration Owner' (Global configuration owner), 'Rule Code' (AKJ_TCC_RULE), 'Rule Name' (AKJ_TCC_RULE), 'Start Date' (1/1/18), 'Tax Regime Code' (AKJ_VAT_REGIME), 'End Date' (calendar icon), 'Tax Law Reference', 'Description', 'Tax' (AKJ_VAT_TAX), and 'Tax Status Code' (AKJ_VAT_STATUS). The 'Event Class' section shows 'Event Class' set to 'Standard Invoices'.

The screenshot shows the 'Tax Determining Factor Set' page. It displays the 'Code' as 'AKJ_TDFS_TCC', 'Name' as 'AKJ_TDFS_TCC', and 'Ledger' as 'AKJ Primary Ledger US'. Below this, the 'Tax Determining Factor Set Details' section shows a table with columns: 'Determining Factor Class', 'Tax Class Qualifier', 'Determining Factor Name', and 'Required'. The table has one row: 'Transaction input factor', 'Tax Classification Code', and an empty 'Required' field.

FUSION TAX

Click Next

Create a Tax Condition Set from Rule creation page

ORACLE

AP

Tax Determining Factors

Tax Condition Set

Rule Status and Order

Create Determine Tax Rate Rule AKJ_TCC_RULE: Tax Condition...

Back

Save and Next

Submit

Cancel

Rule Details

Configuration OwnerGlobal configuration owner

Rule CodeAKJ_TCC_RULE

Determining Factor Set CodeAKJ_TDFS_TCC

Tax Regime CodeAKJ_VAT_REGIME

Rule NameAKJ_TCC_RULE

Determining Factor Set NameAKJ_TDFS_TCC

TaxAKJ_VAT_TAX

Tax Condition Set

View

+

✎

Detach

* Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	* New Condition Set Order	* Result	Minimum Tax Rate	Maximum Tax Rate	Enabled
AKJ_TCS_TCC	AKJ_TCS_TCC	1	1	AKJ_VAT_17			☒

AKJ_TCS_TCC: Details

Tax Condition Set

Tax Reporting Codes

Legal Justification Message Reporting Codes

View

✎

Detach

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Transaction input factor		Tax Classificati...	Equal to	AKJ_VAT_17		---

Save and Next

ORACLE

AP

Tax Determining Factors

Tax Condition Set

Rule Status and Order

Edit Determine Tax Rate Rule: Rule Status and Order

Back

Next

Submit

Cancel

Rule Configuration OwnerGlobal configuration owner

TaxAKJ_VAT_TAX

Tax Regime CodeAKJ_VAT_REGIME

Tax Status CodeAKJ_VAT_STATUS

Rule Status and Order

View

✎

Detach

Rule Order	New Rule Order	Evaluation Order	Rule Code	Rule Name	Start Date	End Date	Enabled	Application	Event Class
10	1	1	AKJ_TCC_RULE	AKJ_TCC_RULE	1/1/18		☒	Payables	Standard Invoices

FUSION TAX

AKJ_TCC_RULE: Tax Conditions

View

Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	Result	Minimum Tax Rate	Maximum Tax Rate	Enabled
AKJ_TCS_TCC	AKJ_TCS_TCC	1	AKJ_VAT_17			☒

Tax Condition Set

Tax Reporting Codes

Legal Justification Message Reporting Codes

View

Tax Determining Factor Class	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Transaction input factor	Tax Classification Code	Equal to	AKJ_VAT_17		—

Submit

Enable tax for Transactions

ORACLE

Edit Tax: AKJ_VAT_TAX

Save

Save and Close

Cancel

Tax Regime Code

AKJ_VAT_REGIME

Tax Type

VAT

Configuration Owner

Global configuration owner

* Start Date

1/1/18

End Date

* Tax Name

AKJ_VAT_TAX

Self-Assessed Differential Tax

☒ Enable tax for simulation

☒ Enable tax for transactions

Save and Close

Manage Configuration Owner Tax Options

Click +

ORACLE

Create Configuration Owner Tax Options

Save

Save and Close

Save and Create Another

Cancel

* Configuration Owner

AKJ Business Unit

Party Type

Business unit owning tax content

Application Name

Payables

* Event Class

Standard Invoices

Entity Name

Purchase Invoices

* Start Date

1/1/18

End Date

Default Tax Options

Rounding Precedence 1

Rounding Precedence 2

Rounding Precedence 3

Rounding Precedence 4

Rounding Level

Header

☐ Allow exemptions

* Regime Determination Set

Determine Applicable

☒ Perform additional applicability for imported documents

☒ Allow offset tax calculation

Offset Tax Basis

☒ Allow tax applicability

☒ Allow entry of manual tax lines

☒ Allow recalculation of manual tax lines

☒ Show tax calculation errors on transactions

☒ Allow override of calculated tax lines

☒ Allow override and entry of inclusive tax lines

☒ Allow supplier tax variance calculation

☐ Enforce tax from reference document

☒ Enforce tax from account

Default Tax Point Basis Invoice

Tax Tolerance

Tolerance Percentage

Tolerance Range Amount

Receipt Tax Options

☒ Allow delivery-based tax calculation

Report Delivery-Based Taxes on ☒ Receipt
☐ Invoice

Tax Point Date Receipt date

Tax Point Basis Delivery

Save and Close

Manage Tax Simulator Transactions

Click +

ORACLE

Create Simulator Transaction

View Tax Lines Save Save and Close Save and Create Another Cancel

* Document Event Class Purchase Invoice

Document Fiscal Classification

* Legal Entity AKJ HQ

Taxation Country United States

* Business Unit AKJ Business Unit

* Document Number MJ_ST_1

* Document Date 5/22/18

First-Party Tax Registration Number

* Currency USD - US Dollar

Evaluate Taxes Enabled for transaction

Description

Supplier

* Name ORPAT

Number 1526453515

* Site Orpat Main-Pay

Ship-from Location

Third-Party Tax Registration Number

Default Ship To

Site

Address

Bill To

Site

Address

Transaction Lines										
View Format Freeze Detach Wrap										
* Line Number	Line Description	Line Class	Line Type	Product Type	Organization	Item	Item Description	Quantity	UOM	Unit Price
1	x Setup for AKJ HQ	INVOICE	Line					10		10.
2		INVOICE	Line							
3		INVOICE	Line							
4		INVOICE	Line							
5		INVOICE	Line							

Line Number 1: Details

Line Level Tax Attributes Reference Adjusted and Applied Documents

Tax Inclusive	Standard	Product Category	
Transaction Business Category		Intended Use	
Assessable Value	100	Product Fiscal Classification	
Tax Classification	AKJ_VAT_17	User-Defined Fiscal Classification	
		Account	

Click Save

View Tax Lines

ORACLE

Tax Line Details: MJ_ST_1

Document Date 5/22/18 Third-Party Ship-from Site Orpat Main-Pay

Configuration Owner AKJ Business Unit Business unit owning tax content Third-Party Bill-from Site Orpat Main-Pay

Document Event Class Purchase invoice Third-Party Bill-to Name

Source Configuration owner tax options Third-Party Ship-to Name

Regime Determination Set TAXREGIME Third-Party Ship-to Site

Rounding Level Header Third-Party Bill-to Site

Third-Party Bill-from Name ORPAT Allow Tax Applicability Yes

Third-Party Ship-from Name ORPAT Evaluate Taxes Enabled for transactions and simulation

View Format Freeze Detach Wrap

Line	Tax Line	Tax Rate Code	Rate	Tax Amount	Inclusive	Self-Assessed	Tax Only Line	Tax Regime Code	Tax	Tax Jurisdiction Code	Tax Status Code
1	1	AKJ_VAT_17	17	17.00	—	—	—	AKJ_VAT_REGIME	AKJ_VAT_TAX	AKJ_VAT_JURIS	AKJ_VAT_STATUS

Line Number 1: Rule Results

Rounding Rule Nearest Minimum Accountable Unit Tax Rate Modification No

Inclusive No Tax Precision 2

View Format Freeze Detach Wrap

Rule Type	Result Type	Result	Rule Code	Rule Order	Tax Determining Factor Set Name
Determine place of supply	Default	BILL_TO			
Determine tax applicability	Default	Applicable			
Determine tax registration	Default	SHIP_FROM_PARTY			
Determine tax status	Default	AKJ_VAT_STATUS			
Determine tax rate	Rule based	AKJ_VAT_17	AKJ_TCC_RULE	1	AKJ_TDFS_TCC

Open Payables Period

Log on to FINSUER1

General Accounting > Period Close

Open the First Period Jan-18

Request will be fired

Open the Target Period in this case DEC-18

Now create a manual AP invoice

Payables>Invoices

Go to Task Create Invoice

Create Invoice: MJINV_1

Invoice Actions: Save and Create Next, Save, Save and Close, Cancel

Last Saved: 5/22/18 6:29 AM

Invoice Header Show More

Identifying PO: _____ * Number: MJINV_1 * Date: 5/22/18

Business Unit: AKJ Business Unit * Amount: USD 117.00 * Payment Terms: Immediate

Supplier: ORPAT Type: Standard * Terms Date: 5/22/18

Supplier Number: 1526453515 Description: _____ Requester: _____

Supplier Site: Orpat Main-Pay Attachments: None

Legal Entity: AKJ HQ Note: _____

Invoice Group: _____

Invoice Summary

Status: Validated

Accounting: Unaccounted

Paid: Unpaid

Canceled: No

Holds:

Installments	0
Line Variance	0
Distribution Variance	0
Manual Holds	0

Lines Match Invoice Lines

View: +, -, X, Detach, Allocate, Cancel Line, Distributions

Distribution	Reference	Tax	Purchase Order	Asset	Project		
* Number	* Type	* Amount	Distribution Set	Distribution Combination	Accounting Date	Prorate Across All Item Lines	Desc
1	Item	100.00	01-210-20001		5/22/18		

Taxes

Transaction Taxes Withholding Taxes

View: Detach, Override Tax Amount, Apply, Edit Taxes, Manage Tax Details

Line	Rate Name	Rate	Amount	Canceled	Inclusive	Self-Assessed	Tax Only Line	Regime	Tax
2	AKJ_VAT_17	17	17.00					AKJ_VAT_REGIME	AKJ_VAT_17
Total			17.00		0.00	0.00			

Totals

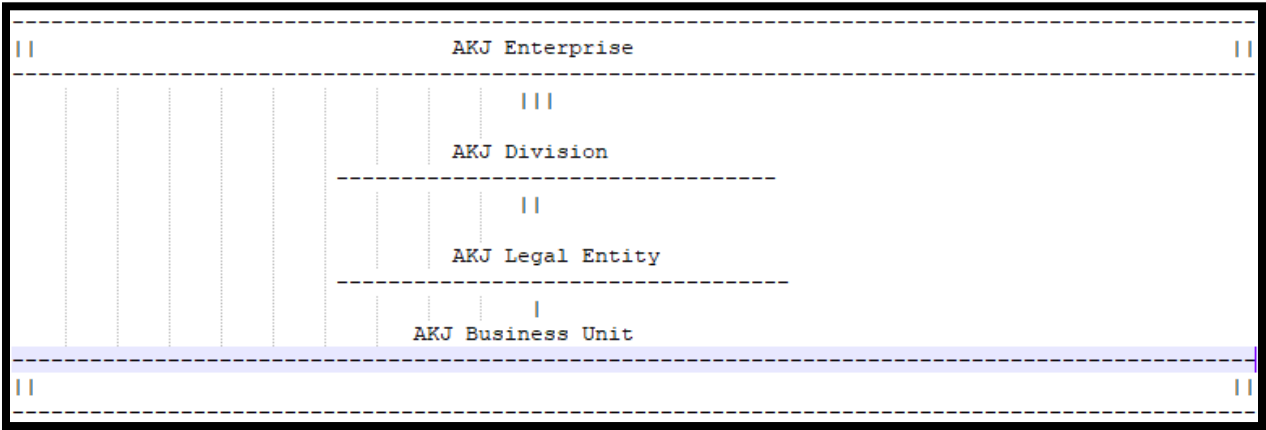
Items	Freight	Miscellaneous	Tax	Included Prepayments	Total
100.00	0.00	0.00	17.00	0.00	117.00
Withholding					Due
0.00					117.00

Payments

Due Date	Payments
5/22/18	0.00 USD

Setting up Self Assessed/Reverse Charge Tax Rule

The following is the Enterprise Structure which would be considered



1. What is Self-Assessed Tax?

A self-assessed tax is a tax calculated and remitted for a transaction, where tax was not levied by the supplier but is deemed as due (and therefore needs to be paid by the purchaser). In such cases the purchaser is responsible for calculating and remitting the tax.

Self-assessment is also known as reverse charge or use tax in certain tax regimes.

2. How Do I Determine if I Should Self-Assess?

Each taxing jurisdiction and authority defines their own criteria for self-assessment. If the regulations governing your business dictate that you self-assess then Fusion Tax establishes the need to self-assess a tax based upon the registration status of the Legal Entity purchasing the goods or services and the Registration Status of the Supplier.

Conceptually the following is normally true:

If goods purchased from an unregistered seller, to ensure that tax is not evaded on that transactions, it is buyer's responsibility to calculate and remit the tax to relevant authority.

FUSION TAX

For Example:
ABC procures goods from XYZ (Unregistered Seller) worth \$1,000
Normal tax rate: - 15%
since XYZ is a unregistered seller, It is ABC's (Buyers) responsibility to calculate tax
ABC will pay XYZ: - \$1,000 (Invoice Amount)
ABC will pay calculate and pay to Tax Authority: - \$150 (Tax Amount)

The requirement is that if the Supplier/site is not registered with the tax authority, it's the onus of the company procuring the goods to calculate tax on its own / self-assess and then pay to the tax authority no tax should be calculated automatically, a manual tax line is created as part of self-assessment

Log on to FINUSER1

Payables > Suppliers

Create a new Supplier Site which is not registered

Edit Site: Orpat UnReg

Procurement BU AKJ Business Unit

Address Name Orpat Main-Pay

Address 36454, WOODLAND, CA 95695

* Site Orpat UnReg

Inactive Date

Status Active

* Site Purpose

- ☐ Sourcing only
- ☒ Purchasing
- ☐ Procurement card
- ☒ Pay
- ☐ Primary pay

Attachments None

Save Save and Close Cancel

Last Saved 5/22/18 6:34 AM

Save

Under Profile > Transaction Tax

Profile Details

Organization Business Classifications Products and Services **Transaction Tax** Income Tax Payments

Controls and Defaults **Tax Registrations** Classifications Tax Reporting Codes Withholding Tax Registrations Withholding Tax Exemptions

Country United States

Registration Number

Tax Registration Type

View Format + View Registration Details Freeze Detach Wrap

Click +

FUSION TAX

Create Tax Registration

* Tax Regime Code	AKJ_VAT_REGIME	Tax Regime Name	AKJ_VAT_REGIME
Tax	AKJ_VAT_TAX	Tax Name	AKJ_VAT_TAX
Tax Jurisdiction Code		Tax Jurisdiction Name	
Tax Point Basis			

Registration Details

Tax Registration Type		Tax Registration Reason	
Company Reporting Name		Issuing Tax Authority	
Legal Registration Address		Tax Registration Status	Not Registered
Validation Type		* Start Date	1/1/18
Validation Level		End Date	
Duplicate Validation Level		Source	Implicit
Registration Number		☐ Set as default registration	

Invoice Controls

Rounding Rule	Down	Set Invoice Values as Tax Inclusive	
---------------	------	-------------------------------------	--

OK Cancel

Click OK

Submit

Log on to application_implementation_consultant

Manage Tax Rules

Create a Tax Applicability Rule

ORACLE

Home Star Flag AP

Create Determine Tax Applicability Rule: Tax Determining Factors

Back Next Submit Cancel

Rule Details

* Configuration Owner	Global configuration owner	* Tax Regime Code	AKJ_VAT_REGIME	* Tax	AKJ_VAT_TAX
* Rule Code	AKJ_UNREG_RULE	* Start Date	5/23/18	Tax Law Reference	
* Rule Name	AKJ_UNREG_RULE	End Date		Description	

FUSION TAX

Tax Determining Factor Set

* Code

AKJ_TDFS_UNREG

Name

AKJ_TDFS_UNREG

Ledger

Tax Determining Factor Set Details

View

Format

Detach

Wrap

Determining Factor Class	Tax Class Qualifier	Determining Factor Name	Required
Registration	Ship-from party	Registration Status	—

Rule Details

Configuration Owner

Global configuration owner

Tax Regime Code

AKJ_VAT_REGIME

Tax

AKJ_VAT_TAX

Rule Code

AKJ_UREG_RULE

Rule Name

AKJ_UREG_RULE

Determining Factor Set Code

AKJ_TDFS_UNREG

Determining Factor Set Name

AKJ_TDFS_UNREG

Tax Condition Set

View

+

✎

Detach

* Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	* New Condition Set Order	* Result	Enabled
AKJ_TCS_UNREG1	AKJ_TCS_UNREG1		1	Not Applicable	☒

AKJ_TCS_UNREG1: Details

Tax Condition Set

Tax Reporting Codes

Legal Justification Message Reporting Codes

View

✎

Detach

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Registration	Ship-from party	Registration Sta...	Equal to	NOT REGISTERED		—

Submit

Log on to FINUSER1

And Create an Invoice for the Supplier Site “Orpat-UnReg”

ORACLE

Invoice Actions

Save

Save and Edit Another

Save and Close

Cancel

Edit Invoice: MJINV_2

Last Saved 5/23/18 6:30 AM

Invoice Header

Show More

Identifying PO

Business Unit AKJ Business Unit

Supplier ORPAT

Supplier Number 1528453515

Supplier Site Orpat UnReg

Legal Entity AKJ HQ

Invoice Group

* Number

MJINV_2

* Amount

USD

100.00

Type

Standard

Description

* Date

5/23/18

* Payment Terms

Immediate

* Terms Date

5/23/18

Requester

Attachments

None

Note

Invoice Summary

Status

Validation

Validated

Accounting

Unaccounted

Paid

Unpaid

Canceled

No

Holds

Installments

0

Line Variance

0

Distribution Variance

0

Manual Holds

0

Page 4 | 6

You have to create a manual tax line and mark it as Self Assessed

Query the Invoice

Navigate to Taxes region

Either click on Edit Taxes or Manage Tax Details

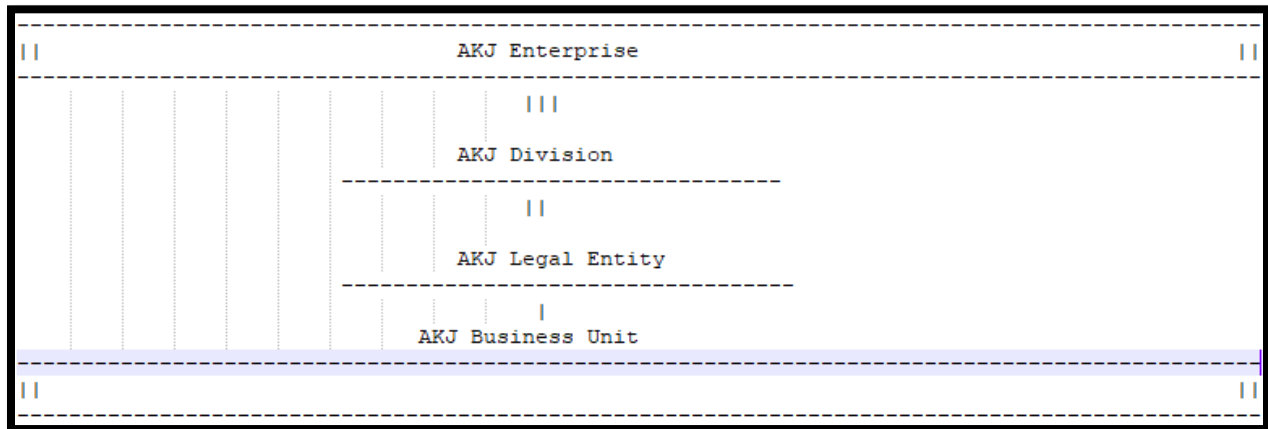
Click +

Oracle Fusion Tax interface showing 'Edit Tax and Item Lines: MJINV_2'. The screen displays a table of tax lines with columns: Line, Rate Name, Rate, Tax Amount, Canceled, Inclusive, Self-Assessed, Tax Only Line, Regime, and Tax Name. One line is visible: Line 1, Rate Name AKJ_VAT_17, Rate 17, Tax Amount 17.00. The 'Self-Assessed' checkbox is checked. The 'Regime' is AKJ_VAT_REGIME and the 'Tax Name' is AKJ_VAT_TA. On the right, the 'Invoice Summary' panel shows Status as Validated, Accounting as Unaccounted, Paid as Unpaid, Canceled as No, and Holds as 0.

Oracle Fusion Tax interface showing 'Taxes' for 'Transaction Taxes'. The screen displays a table of tax lines with columns: Line, Rate Name, Rate, Amount, Canceled, Inclusive, Self-Assessed, Tax Only Line, Regime, and Tax. One line is visible: Line 1, Rate Name AKJ_VAT_17, Rate 17, Amount 17.00. The 'Self-Assessed' checkbox is checked. The 'Regime' is AKJ_VAT_REGIME and the 'Tax' is AKJ_VAT_TA. Below the table, the 'Totals' section shows Items 100.00, Freight 0.00, Miscellaneous 0.00, Tax 0.00, Withholding 0.00, Included Prepayments 0.00, Applied Prepayments 0.00, and a Total of 100.00.

Setting up Account Based Taxes

The following is the Enterprise Structure which would be considered



Requirement is to have taxes base on the Natural segment. Ex: if the Natural Account used is 20001 (Purchase Expense) on the invoice line then a standard 3% taxes to get calculated.

Manage Tax Regimes

ORACLE

Create Tax Regime

Save and Close Cancel

* Tax Regime Code Account_Regime

* Tax Regime Name Account_Regime

* Regime Level Country

* Country United States

Parent Regime Code

* Start Date 1/1/18

End Date

☐ Used to group regimes

Controls and Defaults

Defaults

Tax Currency USD - US Dollar

Minimum Accountable Unit 0.01

Tax Precision 0

Tax Inclusion Method

Conversion Rate Type

Rounding Rule Nearest

☒ Allow tax rounding override

Reporting Tax Authority

Collecting Tax Authority

☒ Use legal registration number

Configuration Options and Service Subscriptions

Configuration Options Service Subscriptions

View Format Freeze Detach Wrap

* Party Name	Party Type	Country	* Configuration for Taxes and Rules	* Configuration for Product Exceptions	Parent First-Party Organization	* Effective Start Date
AKJ Business Unit	Business unit ow...	United States	Common configuration	Common configuration		1/1/18

Save and Close

FUSION TAX

Manage Taxes

ORACLE

AP

SaveSave and CloseSave and Create AnotherCancel

* Tax Regime CodeACCOUNT_REGIME

* Configuration OwnerGlobal configuration o

* TaxAccount_Tax

* Tax NameAccount_Tax

Tax TypeVAT

* Start Date1/1/18

End Date

☐ Enable tax for simulation

☐ Enable tax for transactions

Tax Information

* Geography TypeCOUNTRY

Parent Geography TypeCOUNTRY

Parent Geography NameUnited States

Override Geography Type

* Tax CurrencyUSD - US Dollar

Tax Minimum Accountable Unit0.01

Tax Precision0

Conversion Rate Type

Rounding RuleNearest

Compounding Precedence

Reporting Tax Authority

Collecting Tax Authority

Applied Amount HandlingProrated

☐ Set as offset tax

☐ Set tax for reporting purposes only

Controls and Defaults

Tax Rule DefaultsTax AccountsTax Reporting CodesTax Jurisdictions

Controls

Tax Point BasisInvoice

Tax Inclusion Method

— Allow override and entry of inclusive tax lines

☒ Allow tax rounding override

☒ Allow override of calculated tax lines

Tax Accounts Controls

Tax Accounts Creation MethodCreate tax accounts

Tax Accounts Source

Tax Exceptions and Exemptions Controls and Defaults

☒ Allow tax exceptions

☒ Allow tax exemptions

☐ Use tax exemptions from an existing tax

Tax Exemptions Source

Registration Number Controls and Defaults

Validation Type

Validation Level

Duplicate Validation Level

☒ Allow entry of manual tax lines

☒ Use legal registration number

☒ Allow duplicate registration numbers

☒ Allow multiple jurisdictions

☐ Allow creation of multiple jurisdictions

☐ Use in withholding tax calculation

FUSION TAX

Tax Recovery Controls and Defaults

☒ Allow tax recovery

☒ Allow tax recovery rate override

* Primary Recovery Type

STANDARD

Secondary Recovery Type

Controls and Defaults

Tax Rule Defaults

Tax Accounts

Tax Reporting Codes

Tax Jurisdictions

Direct Defaults

Place of Supply

Ship to, use bill to if:

Tax Applicability

Applicable

Tax Registration

Ship-from party

Tax Calculation Formula

STANDARD_TC

Taxable Basis Formula

STANDARD_TB

Indirect Defaults

View

Format

Create Default

Edit Default

Type	Default Value	Default Start Date	Default End Date
Tax Jurisdiction			
Tax Status			
Tax Rate			

Save and Close

Manage Tax Statuses

ORACLE

Home

Star

Flag

Document

AP

Create Tax Status

Save

Save and Close

Save and Create Another

Cancel

* Tax Regime Code

ACCOUNT_REGIME

* Configuration Owner

al

* Tax

ACCOUNT_TAX

* Tax Status Code

Account_Status

* Tax Status Name

Account_Status

* Start Date

1/1/18

End Date

☒ Set as default tax status

* Default Start Date

1/1/18

Default End Date

Controls and Defaults

☒ Allow tax exceptions

☒ Allow tax rate override

Save and Close

Manage Tax Rates

ORACLE

Home

Star

Flag

AP

Tax Rate: ACCOUNT_RATE_3

ACCOUNT_REGIME Global configuration owner A

Edit

Done

Tax Regime Code

ACCOUNT_REGIME

Configuration Owner

Global configuration owner

Tax

ACCOUNT_TAX

Tax Status Code

ACCOUNT_STATUS

Tax Jurisdiction Code

Tax Rate Code

ACCOUNT_RATE_3

Tax Rate Type

Percentage

Tax Regime Name

Account_Regime

Tax Name

Account_Tax

Tax Status Name

Account_Status

Tax Jurisdiction Name

Tax classification code set assignments

Rate Periods

View

Format

Detach

Controls

Tax Inclusion Method

—

Allow override and entry of inclusive tax lines

☒ Allow tax exemptions

☒ Allow tax exceptions

☒ Allow ad hoc tax rate

Adjustment for Ad Hoc Tax Amounts

Taxable basis

Tax Point Basis

Invoice

Save and Close

Manage Tax Recovery Rates

ORACLE

Create Tax Recovery Rate

Save Save and Close Save and Create Another Cancel

* Tax Regime Code ACCOUNT_REGIME Tax Regime Name Account_Regime

* Configuration Owner al configuration owner Rate Type RECOVERY

* Tax ACCOUNT_TAX Tax Name Account_Tax

* Tax Recovery Rate Code Account_Recovery_Rc

* Recovery Type STANDARD

Recovery Rate Periods

View Format + Detach Wrap

* Rate Percentage	Recovery Rate Period Name	* Effective Start Date	Effective End Date	Set as Default Rate	* Default Start Date	Default End Date	Allow Ad Hoc Recovery Rate
100		1/1/18		☒	1/1/18		☒

100, 2018-01-01: Recovery Rate Account Details

View Format + Detach

* Ledger	Business Unit	* Tax Recoverable Account
AKJ Primary Ledger US	AKJ Business Unit	01-210-30001

Save and Close

Associate the Default Recovery the Tax Rate

ORACLE

Edit Tax Rate: ACCOUNT_RATE_3

ACCOUNT_REGIME Global configuration owner A Save Save and Close Cancel

Tax Regime Code ACCOUNT_REGIME Tax Regime Name Account_Regime

Configuration Owner Global configuration owner

Tax ACCOUNT_TAX Tax Name Account_Tax

Tax Status Code ACCOUNT_STATUS Tax Status Name Account_Status

Tax Jurisdiction Code Tax Jurisdiction Name

Tax Rate Code ACCOUNT_RATE_3 Tax classification code set assignments

Tax Rate Type Percentage

Rate Periods

View Format + Detach

* Rate Percentage	* Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date
3	1/1/18		☒	1/1/18	

Recovery Rate Details

Default Recovery Rate Code ACCOUNT_RECOVER Rule Code of Recovery Rate

Recovery Type STANDARD

Save and Close

Manage Tax Jurisdiction

The screenshot shows the 'Create Tax Jurisdiction' form in Oracle Fusion Tax. The form is divided into two main sections. The top section contains fields for 'Tax Jurisdiction Code' (Account_Jurisdiction), 'Tax Jurisdiction Name' (Account_Jurisdiction), 'Tax Regime Code' (ACCOUNT_REGIME), 'Tax' (ACCOUNT_TAX), 'Geography Type' (COUNTRY), 'Geography Name' (United States), 'Parent Geography Type' (North American Sales), and 'Parent Geography Name' (GLOBAL_REGION). There are also fields for 'Precedence Level' (300), 'Reporting Tax Authority', 'Collecting Tax Authority', 'Start Date' (1/1/18), and 'End Date'. A 'View Precedence Details' button is located next to the 'Precedence Level' field. The bottom section, titled 'Default Information', contains a checkbox 'Set as default jurisdiction' and fields for 'Default Start Date' (1/1/18) and 'Default End Date'. The Oracle logo and navigation icons are visible at the top of the form.

Save and Close

Enable the Tax for transactions

Manage Tax Rules

Create an Account-Based Direct Tax Rate Determination Rule

The screenshot shows the 'Create Account-Based Direct Tax Rate Determination Rule' form in Oracle Fusion Tax. The form is divided into two main sections. The top section contains fields for 'Configuration Owner' (Global configuration owner), 'Rule Code' (ACC_BASED_RULE), 'Rule Name' (ACC_BASED_RULE), 'Ledger' (AKJ Primary Ledger US), 'Tax Regime Code' (ACCOUNT_REGIME), 'Start Date' (5/1/18), 'End Date', 'Tax' (ACCOUNT_TAX), 'Tax Law Reference', and 'Description'. There is an 'Enabled' checkbox. The bottom section, titled 'Account-Based Applicable Tax Rates', contains a table with columns for 'Natural Account', 'Tax Status Result', and 'Tax Rate Result'. The table has one row with '20001' in the 'Natural Account' column, 'ACCOUNT_STATUS' in the 'Tax Status Result' column, and 'ACCOUNT_RATE_3' in the 'Tax Rate Result' column. The Oracle logo and navigation icons are visible at the top of the form.

Save and Close

Manage Configuration Owner Tax Options

ORACLE

Create Configuration Owner Tax Options

Save Save and Close Save and Create Another Cancel

* Configuration Owner AKJ Business Unit

Party Type Business unit owning tax content

Application Name Payables

* Event Class Standard Invoices

Entity Name Purchase Invoices

* Start Date 1/10/18

End Date

Default Tax Options

Rounding Precedence 1

Rounding Precedence 2

Rounding Precedence 3

Rounding Precedence 4

Rounding Level Header

☐ Allow exemptions

* Regime Determination Set Determine Applicable

☒ Perform additional applicability for imported documents

☒ Allow offset tax calculation

Offset Tax Basis Ship-from party

☒ Allow tax applicability

☒ Allow entry of manual tax lines

☒ Allow recalculation of manual tax lines

☒ Show tax calculation errors on transactions

☒ Allow override of calculated tax lines

☒ Allow override and entry of inclusive tax lines

☒ Allow supplier tax variance calculation

Save and Close

Create an Invoice

ORACLE

Create Invoice: MJINV_ACC_1

Invoice Actions Save and Create Next Save Save and Close Cancel

Last Saved 5/24/18 8:54 AM

Invoice Header Show More

Identifying PO

Business Unit AKJ Business Unit

Supplier ORPAT

Supplier Number 1526453515

Supplier Site Orpat Main-Pay

Legal Entity AKJ HQ

Invoice Group

* Number MJINV_ACC_1

* Amount USD 103.00

Type Standard

Description

* Date 5/24/18

* Payment Terms Immediate

* Terms Date 5/24/18

Requester

Attachments None

Note

Invoice Summary

Status

Validation	Validated
Accounting	Unaccounted
Paid	Unpaid
Canceled	No

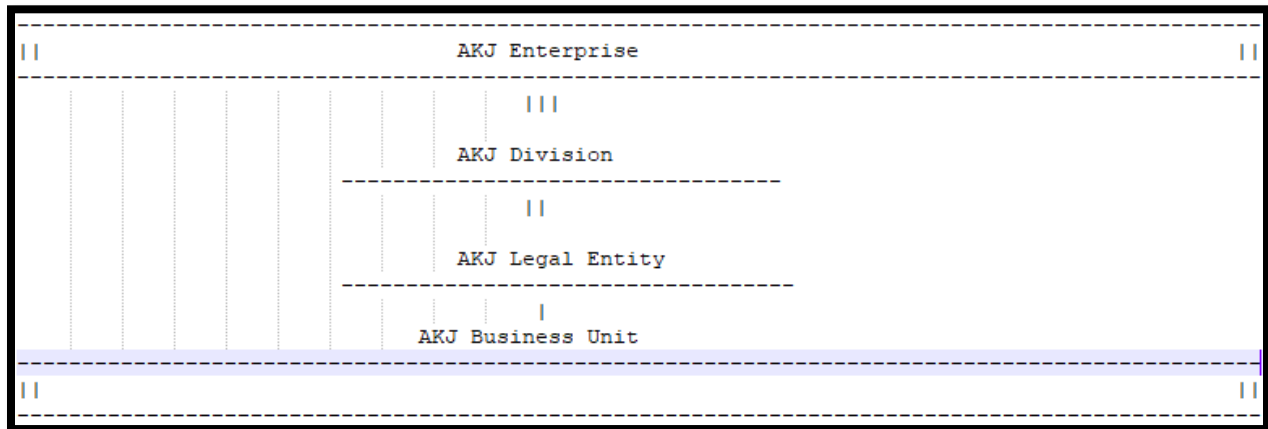
Holds

Installments	0
Line Variance	0
Distribution Variance	0
Manual Holds	0

Tax Rate of 3% calculated since the line account (Natural Account=20001) was chosen.

Setting up Import/Export Tax Scenario

The following is the Enterprise Structure which would be considered



Following are the cases

Case 1: Tax Zone (User Defined Geography)

- A) Let's say If Business Unit Country falls in the EU Zone (List of European Countries in EU) Like France and the Trading (Supplier) Country Falls outside the EU Zone Countries like US then record a tax of 9% on the invoice
- B) Let's say if Business Unit Country falls in the EU Zone (List of European Countries in EU) Like France and the Trading (Supplier) Country also Falls in EU Zone Countries like Italy then record a tax of 0% on the Invoice
- C) Let's Say if Business Unit Country falls in a Country like Canada and the trading (supplier) country also fall in Canada, but in special economic provinces in Canada then calculate a special tax rate of 4% on the invoice

Case 2: Non Tax Zone case

- A) Let's Say if Business Unit Country is US and Trading(Supplier) Country is in Canada then apply the import duty tax of say 4% on the invoice , instead of the regular 17% tax

FUSION TAX

We shall implement the Case 2

Create a new Rate and Recovery Rate under the existing

Tax Regime>Tax >Tax Status and Tax Jurisdiction

Manage Tax Rates and Tax Recovery Rates

ORACLE

AP

Edit Tax Rate: IMPORT_DUTY_4

AKJ_VAT_REGIME Global configuration owner AKJ_VAT_REGIME

Save

Save and Close

Cancel

Tax Regime Code AKJ_VAT_REGIME

Configuration Owner Global configuration owner

Tax AKJ_VAT_TAX

Tax Status Code AKJ_VAT_STATUS

Tax Jurisdiction Code AKJ_VAT_JURIS

Tax Rate Code IMPORT_DUTY_4

Tax Rate Type Percentage

Tax Regime Name AKJ_VAT_REGIME

Tax Name AKJ_VAT_TAX

Tax Status Name AKJ_VAT_STATUS

Tax Jurisdiction Name AKJ_VAT_JURIS

Tax classification code set assignments

Rate Periods

View

Format

+

✖

✎

Detach

Rate Percentage	Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date
4	1/1/18		☐		

Controls

Tax Inclusion Method Standard noninclusive hand

☒ Allow override and entry of inclusive tax lines

☒ Allow tax exemptions

☒ Allow tax exceptions

☒ Allow ad hoc tax rate

Adjustment for Ad Hoc Tax Amounts Taxable basis

Tax Point Basis Invoice

Save and Close

FUSION TAX

Create Tax Recovery Rate

ORACLE

AKJ_VAT_REGIME Global configuration owner AKJ

SaveSave and CloseCancel

Tax Regime CodeAKJ_VAT_REGIME

Configuration OwnerGlobal configuration owner

TaxAKJ_VAT_TAX

Tax Recovery Rate CodeIMPORT_RECOVERY_100

Recovery TypeSTANDARD

Tax Regime NameAKJ_VAT_REGIME

Tax NameAKJ_VAT_TAX

Rate TypeRECOVERY

Recovery Rate Periods

ViewFormat+XDetachWrap

* Rate Percentage	Recovery Rate Period Name	* Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date	Allow Ad Hoc Recovery Rate
100		1/1/18		☐			

100, 2018-01-01: Recovery Rate Account Details

ViewFormat+XDetach

* Ledger	Business Unit	* Tax Recoverable Account
AKJ Primary Ledger US	AKJ Business Unit	01-110-30001

Save and Close

Associate the Tax Recovery to Tax Rate

Recovery Rate Details

Default Recovery Rate CodeIMPORT_RECOVERY

Rule Code of Recovery Rate

Recovery TypeSTANDARD

Save and Close

Manage Tax Rules

Create a Tax Rate Rule

ORACLE

Home

Star

Flag

1

AP

Tax Determining Factors

Tax Condition Set

Rule Status and Order

Edit Determine Tax Rate Rules IE_RULE_10: Tax Determining Fa...

BackNextSubmitCancel

Rule Details

Configuration OwnerGlobal configuration owner

Tax Regime CodeAKJ_VAT_REGIME

TaxAKJ_VAT_TAX

Rule CodeIE_RULE_10

End Date

Tax Status CodeAKJ_VAT_STATUS

* Rule NameIE_RULE_10

Tax Law Reference

Start Date1/1/18

Description

Event Class

Event Class

Geography

☐ Set as geography specific rule

Parent Geography Type

Geography Type

Location Type

Parent Geography Name

Geography Name

Tax Determining Factor Set

CodeIE_TDFS_10

NameIE_TDFS_10

Ledger

Tax Determining Factor Set Details

View

Format

Detach

Wrap

Determining Factor Class	Tax Class Qualifier	Determining Factor Name	Required
Geography	Bill from	Country	—

Click Next

ORACLE

Progress: Tax Determining Factors (1/3), Tax Condition Set (2/3), Rule Status and Order (3/3)

Edit Determine Tax Rate Rule IE_RULE_10: Tax Condition Set

Buttons: Back, Save and Next, Submit, Cancel

Rule Details

Configuration Owner	Global configuration owner	Rule Code	IE_RULE_10	Determining Factor Set Code	IE_TDFS_10
Tax Regime Code	AKJ_VAT_REGIME	Rule Name	IE_RULE_10	Determining Factor Set Name	IE_TDFS_10
Tax	AKJ_VAT_TAX				

Tax Condition Set

View + Detach

* Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	* New Condition Set Order	* Result	Minimum Tax Rate	Maximum Tax Rate	Enabled
IE_TCS_10	IE_TCS_10	1	1	IMPORT_DUTY_4			☒

IE_TCS_10: Details

Tabs: Tax Condition Set (selected), Tax Reporting Codes, Legal Justification Message Reporting Codes

View + Detach

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Geography	Bill from	Country	Not equal to deter...	Ship to		—

Save and Next

Enable and Submit

FUSION TAX

Create a Supplier for Canada

Supplier: Canada Bearings ★

EditDone

ProfileAddressesSitesContactsQualifications

General

SupplierCanada Bearings

Business RelationshipSpend Authorized

Supplier Number1526453517

Parent Supplier

Alternate Name

Parent Supplier Number

Tax Organization TypeCorporation

Creation Date5/29/18

Supplier Type

Creation SourceManual

Inactive Date

Registration Request

StatusActive

AttachmentsNone

Profile Details

OrganizationBusiness ClassificationsProducts and ServicesTransaction TaxIncome TaxPayments

Controls and DefaultsTax RegistrationsClassificationsTax Reporting CodesWithholding Tax RegistrationsWithholding Tax Exemptions

Transaction Tax

☒ Allow tax applicability

☐ Allow offset taxes

Rounding LevelHeader

Set Invoice Values as Tax Inclusive

Rounding RuleNearest

Tax Classification Code

Taxpayer Identifiers

View+Detach

* Validation Type	Name	* Taxpayer ID	Validation Digit	* Effective Start Date	Effective End Date
No data to display.					

OverviewSupplier: Canada Bearings x

Address: Bearings-MainPay

Done

Address NameBearings-MainPay

Address Purpose

- ✓ Ordering
- ✓ Remit to
- ✓ RFQ or Bidding

CountryCanada

Phone

Address Line 136454

Fax

Address Line 2

Email

Address Line 3

Inactive Date

CityToronto

StatusActive

ProvinceOntario

Postal CodeM3C 0C1

Address Details

Sites

Transaction Tax

Contacts

Payments

View

Format

Freeze

Detach

Wrap

* Procurement BU	* Site	* Site Purpose					Attachments	Status
		Sourcing Only	Purchasing	Procurement Card	Pay	Primary Pay		
AKJ Business Unit	MainPay-Site	—	✓	—	✓	✓	None	Active

Address Details

Sites

Transaction Tax

Contacts

Payments

Controls and Defaults

Tax Registrations

Classifications

Tax Reporting Codes

Withholding Tax Registrations

Withholding Tax Exemptions

Transaction Tax

✓ Allow tax applicability

— Allow offset taxes

Rounding Level

Set Invoice Values as Tax Inclusive

Rounding Rule

Tax Classification Code

Taxpayer Identifiers

View

+

✎

Detach

* Validation Type	Name	* Taxpayer ID	Validation Digit	* Effective Start Date	Effective End Date
-------------------	------	---------------	------------------	------------------------	--------------------

Overview

Supplier: Canada Bearings x

Site: MainPay-Site

Done

Procurement BU

AKJ Business Unit

Address Name

Bearings-MainPay

Address

36454,TORONTO ONTARIO M3C 0C1,CANADA

Site

MainPay-Site

Inactive Date

Status

Active

Site Purpose

— Sourcing only

✓ Purchasing

— Procurement card

✓ Pay

✓ Primary pay

Attachments

None

General

Purchasing

Receiving

Invoicing

Payments

Site Assignments

Qualifications

View

Format

Freeze

Detach

Wrap

Status

Active

* Client BU	* Bill-to BU	Withholding Tax Group	Liability Distribution	Prepayment Distribution	Bill Payable Distribution	Distribution Set	Inactive Date
AKJ Business Unit	AKJ Business Unit		01-210-30001	01-210-20001			

Manage Configuration Owner Tax Options

ORACLE

Home

Star

Flag

1

AP

Create Configuration Owner Tax Options

* Configuration Owner

AKJ Business Unit

Party Type

Business unit owning tax content

Application Name

Payables

* Event Class

Standard Invoices

Entity Name

Purchase Invoices

* Start Date

1/14/18

End Date

Save

Save and Close

Save and Create Another

Cancel

Default Tax Options

Rounding Precedence 1

Rounding Precedence 2

Rounding Precedence 3

Rounding Precedence 4

Rounding Level

Header

Allow exemptions

* Regime Determination Set

Determine Applicable

Perform additional applicability for imported documents

Allow offset tax calculation

Offset Tax Basis

Ship-from party

Allow tax applicability

Allow entry of manual tax lines

Allow recalculation of manual tax lines

Show tax calculation errors on transactions

Allow override of calculated tax lines

Allow override and entry of inclusive tax lines

Allow supplier tax variance calculation

Enforce tax from reference document

Enforce tax from account

Default Tax Point Basis

Invoice

Tax Tolerance

Tolerance Percentage

Tolerance Range Amount

Receipt Tax Options

Allow delivery-based tax calculation

Report Delivery-Based Taxes on

Receipt

Invoice

Tax Point Date

Receipt date

Tax Point Basis

Delivery

Save and Close

FUSION TAX

Create an Invoice for the Canada Supplier

ORACLE

Home

Star

Flag

Notification

Profile

Edit Invoice: MJINV_IE_2

Invoice Actions

Save

Save and Edit Another

Save and Close

Cancel

Last Saved 5/29/18 1:41 PM

Invoice Header

Show More

Identifying PO

Business Unit AKJ Business Unit

Supplier Canada Bearings

Supplier Number 1526453517

Supplier Site MainPay-Site

Legal Entity AKJ HQ

Invoice Group

* Number MJINV_IE_2

* Amount CAD 104.00

Type Standard

Description

* Date 5/29/18

* Payment Terms Immediate

* Terms Date 5/29/18

Requester

Attachments None

Note

Invoice Summary

Status

Validation Validated

Accounting Unaccounted

Paid Unpaid

Canceled No

Holds

Installments 0

Line Variance 0

Distribution Variance 0

Manual Holds 0

Lines

Match Invoice Lines

View

+

×

Print

Detach

Allocate

Cancel Line

Distributions

Distribution

Reference

Tax

Purchase Order

Asset

Project

* Number	* Type	* Amount		Tax		Purcha		
				Tax Classification	Ship-to Location	Withholding	Number	Lir
1	Item	100.00			CA St. Revenue Dept			

Taxes

Transaction Taxes

Withholding Taxes

View

Detach

Override Tax Amount

Apply

Edit Taxes

Manage Tax Details

Line	Rate Name	Rate	Amount	Canceled	Inclusive	Self-Assessed	Tax Only Line	Regime	Tax
2	IMPORT_DUTY_4	4	4.00	—	—	—	—	AKJ_VAT_REGIME	AKJ_
Total			4.00		0.00	0.00			

Totals

Items	100.00	Freight	0.00	Miscellaneous	0.00	Tax	4.00	Included Prepayments	0.00	Total	104.00
						Withholding	0.00	Applied Prepayments	0.00	Due	104.00

System Holds 0

Supplier Site No

Payments

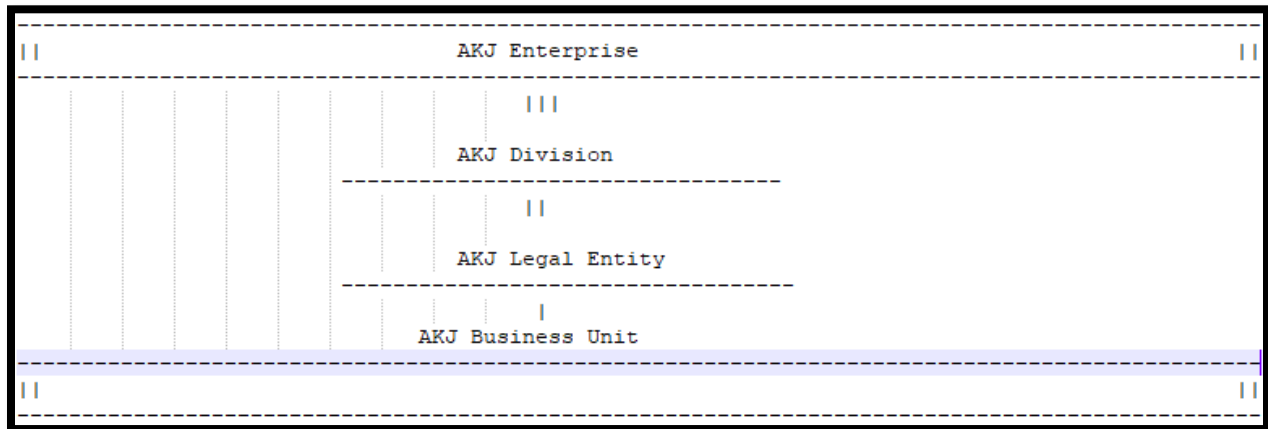
Due Date 5/29/18

Payments 0.00 CAD

The supplier (Bill From) country Canada<> ship to country US, the Direct Tax Rate Rule was applicable and an import_duty_4 Rate was applied.

Setting up Party Fiscal Classification Based Taxes

The following is the Enterprise Structure which would be considered



What is a Party Fiscal Classification?

A Party Fiscal Classification is the Fusion Tax term used to reference the 'Classification'. One to N classifications can be created and a Tax Profile created for a party can have 1...N number of Classifications attached.

Classifications therefore become a mechanism to add descriptive attributes onto a Party (Customer or Vendor) record that can then be used as a Determining Factor in a tax rule.

- A classification used by tax authorities to categorize parties.
- Parties having similar attributes can be grouped together.
- Taxation of many countries depends on Party Classification.
- Examples of Party Classification :-
 - Different tax rates can be applicable for similar transactions with parties classified as :-
 - Government Organizations, Whole Sellers, Retailers, Manufacturers etc.

Small scale, Medium Scale or Large Scale Incorporations

Manage Classification Categories

ORACLE

Create Classification Category

Create Classification Codes Save Save and Close Cancel

Overview

Classification Category SPECIAL

Classification Category Meaning SPECIAL

Classification Category Description SPECIAL

Entity Assignment

Table Name Where Clause

HZ_PARTIES	WHERE PARTY_TYPE = 'ORGANIZATION'
------------	-----------------------------------

Save and Close

Requery the Classification Category=SPECIAL

Click Create icon for Classification Codes

Edit Classification Category: SPECIAL

Save Save and Close

Overview

Classification Category SPECIAL

Classification Category Meaning SPECIAL

Classification Category Description SPECIAL

Entity Assignment

Table Name Where Clause

HZ_PARTIES	WHERE PARTY_TYPE = 'ORGANIZATION'
------------	-----------------------------------

Classification Codes

Classification Code Meaning

Classification Code Classification Code Description Start Date End Date

Create Tree Node

Selected Node

Click Next to create a new record for selected data source.

Data Source Party Classification Hierarchy

Tree Version SPECIAL

Tree SPECIAL

Tree Structure Party Classification Hierarchy

Next

OK Cancel

Click Next

Edit Classification Category: SPECIAL

Save Save and Close

Overview

Classification Category SPECIAL — Allow Parent Code Assignment

Classification Category Meaning SPECIAL ☐ Allow Multiple Class Code Assignment

Classification Category Description SPECIAL

Entity Assignment

Actions View + X Detach

Table Name	Where Clause
HZ_PARTIES	WHERE PARTY_TYPE = 'ORGANIZATION'

Classification Codes

Actions View + Add Edit Detach

Classification Code Meaning	Classification Code	Classification Code Description	Start Date	End Date
-----------------------------	---------------------	---------------------------------	------------	----------

Create Node

Create Classification Code

* Classification Code Special1

* Classification Code Meaning Special1

Classification Code Description Special1

Save Cancel

Save

Edit Classification Category: SPECIAL

Save Save and Close

Overview

Classification Category SPECIAL — Allow Parent Code Assignment

Classification Category Meaning SPECIAL ☐ Allow Multiple Class Code Assignment

Classification Category Description SPECIAL

Entity Assignment

Actions View + X Detach

Table Name	Where Clause
HZ_PARTIES	WHERE PARTY_TYPE = 'ORGANIZATION'

Classification Codes

Actions View + Add Edit Detach

Classification Code Meaning	Classification Code	Classification Code Description	Start Date	End Date
-----------------------------	---------------------	---------------------------------	------------	----------

Create Tree Node

Selected Node

New tree node created successfully. Click OK to add it to hierarchy.

Data Source Party Classification Hierarchy

Tree Version SPECIAL

Tree SPECIAL

Tree Structure Party Classification Hierarchy

Tree Node Details

Selected Node Special1

ClassCategory SPECIAL

ClassCode Special1

ViewApplicationId 0

OK Cancel

Ok

FUSION TAX

Click on Task Run Classification Hierarchy Generation

ORACLE

Run Classification Hierarch...

Process OptionsAdvancedSubmitCancel

Name

Classification Hierarchy Generation

Description

Flatten Classification Hierarchy Rows and Columns.

☐ Notify me when this process ends

Schedule

As soon as possible

Submission Notes

Basic Options

Parameters

Classification Category

SPECIAL

Flattening Method

Incremental Flattening

Submit

Manage Tax Regimes

ORACLE

Create Tax Regime

Save and CloseCancel

* Tax Regime Code

Party_Fiscal_Regime

* Tax Regime Name

Party_Fiscal_Regime

* Regime Level

Country

* Country

United States

Parent Regime Code

* Start Date

1/1/18

End Date

☐ Used to group regimes

Controls and Defaults

Defaults

Tax Currency

USD - US Dollar

Minimum Accountable Unit

0.01

Tax Precision

0

Tax Inclusion Method

Standard noninclusive hand

Conversion Rate Type

Rounding Rule

Nearest

☒ Allow tax rounding override

Reporting Tax Authority

Collecting Tax Authority

☐ Use legal registration number

General Controls

☐ Allow override and entry of inclusive tax lines

☐ Use tax reporting configuration

Registration Number Controls and Defaults

Validation Type

Validation Level

Duplicate Validation Level

Compounding Level Controls

☐ Allow cross regime compounding

Compounding Precedence

Configuration Options and Service Subscriptions

Configuration Options

Service Subscriptions

View

Format

Freeze

Detach

Wrap

* Party Name

Party Type

Country

* Configuration for Taxes and Rules

* Configuration for Product Exceptions

Parent First-Party Organization

* Effective Start Date

AKJ Business Unit

Business unit ow...

United States

Common configuration

Common configuration

1/1/18

FUSION TAX

Save and Close

Manage Taxes

ORACLE

AP

SaveSave and CloseSave and Create AnotherCancel

* Tax Regime CodeRTY_FISCAL_REGIME

* Configuration OwnerGlobal configuration o

* TaxParty_Fiscal_Tax

* Tax NameParty_Fiscal_Tax

Tax Type

* Start Date1/1/18

End Date

☐ Enable tax for simulation

☐ Enable tax for transactions

Tax Information

* Geography TypeCOUNTRY

Parent Geography TypeCOUNTRY

Parent Geography NameUnited States

Override Geography Type

* Tax CurrencyUSD - US Dollar

Tax Minimum Accountable Unit0.01

Tax Precision0

Conversion Rate Type

Rounding RuleNearest

Compounding Precedence

Reporting Tax Authority

Collecting Tax Authority

Applied Amount HandlingProrated

☐ Set as offset tax

☐ Set tax for reporting purposes only

Tax Point BasisInvoice

Tax Inclusion MethodStandard noninclusive handling

Allow override and entry of inclusive tax lines

☒ Allow tax rounding override

☒ Allow override of calculated tax lines

☒ Allow entry of manual tax lines

☒ Use legal registration number

☒ Allow duplicate registration numbers

☒ Allow multiple jurisdictions

☐ Allow creation of multiple jurisdictions

☐ Use in withholding tax calculation

Tax Accounts Controls

Tax Accounts Creation MethodCreate tax accounts

Tax Accounts Source

Tax Exceptions and Exemptions Controls and Defaults

☒ Allow tax exceptions

☒ Allow tax exemptions

☐ Use tax exemptions from an existing tax

Tax Exemptions Source

Registration Number Controls and Defaults

Validation Type

Validation Level

Duplicate Validation Level

Tax Recovery Controls and Defaults

☒ Allow tax recovery

☒ Allow tax recovery rate override

* Primary Recovery TypeSTANDARD

Secondary Recovery Type

Controls and DefaultsTax Rule DefaultsTax AccountsTax Reporting CodesTax Jurisdictions

Direct Defaults

Place of SupplyShip to, use bill to if :

Tax ApplicabilityApplicable

Tax RegistrationShip-from party

Tax Calculation FormulaSTANDARD_TC

Taxable Basis FormulaSTANDARD_TB

Indirect Defaults

ViewFormatCreate DefaultEdit Default

Type

Default Value

Default Start Date

Default End Date

Tax Jurisdiction

Tax Status

Save and Close

Manage Tax Statutes

ORACLE

AP

Create Tax Status

Save

Save and Close

Save and Create Another

Cancel

* Tax Regime Code

PARTY_FISCAL_REGI

* Configuration Owner

Global configuration o

* Tax

PARTY_FISCAL_TAX

* Tax Status Code

Party_Fiscal_Status

* Tax Status Name

Party_Fiscal_Status

* Start Date

1/1/18

End Date

Set as default tax status

☒

* Default Start Date

1/1/18

Default End Date

Controls and Defaults

☒ Allow tax exceptions

☒ Allow tax rate override

☒ Allow tax exemptions

Save and Close

Manage Tax Rates and Tax Recovery Rates

Create Tax Rate

ORACLE

AP

Create Tax Rate

Save

Save and Close

Save and Create Another

Cancel

* Tax Regime Code

PARTY_FISCAL_REGIM

* Configuration Owner

Global configuration ow

* Tax

PARTY_FISCAL_TAX

* Tax Status Code

PARTY_FISCAL_STATU

Tax Jurisdiction Code

* Tax Rate Code

Party_Fiscal_Rate_9

* Tax Rate Type

Percentage

Tax Regime Name

Party_Fiscal_Regime

Tax Name

Party_Fiscal_Tax

Tax Status Name

Party_Fiscal_Status

Tax Jurisdiction Name

Tax Classification Code Set Assignments

☒ Order to cash

☒ Procure to pay

☒ Expenses

Rate Periods

View

Format

Detach

* Rate Percentage	* Effective Start Date	Effective End Date	Set as Default Rate	Default Start Date	Default End Date
9	1/1/18		☒	1/1/18	

Main Details | Tax Accounts | Tax Reporting Codes | Legal Justification Message Reporting Codes

Rate Period Name Tax Transaction Type

Rate Period Description

Offset Rate Details

Offset Rate Code Tax Status Code of Offset Rate

Tax of Offset Rate

Recovery Rate Details

Default Recovery Rate Code Rule Code of Recovery Rate

Recovery Type

Controls

Tax Inclusion Method Standard noninclusive handling ☒ Allow ad hoc tax rate

☐ Allow override and entry of inclusive tax lines Adjustment for Ad Hoc Tax Amounts Taxable basis

☒ Allow tax exemptions Tax Point Basis Invoice

☒ Allow tax exceptions

Save and Close

Create Tax Recovery Rate

ORACLE

Create Tax Recovery Rate

Save Save and Close Save and Create Another Cancel

* Tax Regime Code PARTY_FISCAL_REGI Tax Regime Name Party_Fiscal_Regime

* Configuration Owner al configuration owner Rate Type RECOVERY

* Tax PARTY_FISCAL_TAX Tax Name Party_Fiscal_Tax

* Tax Recovery Rate Code Fiscal_Recovery_Rate

* Recovery Type STANDARD

Recovery Rate Periods

View Format + Detach Wrap

* Rate Percentage	Recovery Rate Period Name	* Effective Start Date	Effective End Date	Set as Default Rate	* Default Start Date	Default End Date	Allow Ad Hoc Recovery Rate
100		1/1/18		☒	1/1/18		☒

100, 2018-01-01: Recovery Rate Account Details

View Format + Detach

* Ledger Business Unit * Tax Recoverable Account

AKJ Primary Ledger US AKJ Business Unit 01-110-30001

Save and Close

FUSION TAX

Associate the Tax Recovery Rate to Tax Rate

Recovery Rate Details

Default Recovery Rate CodePARTY_FISCAL_REC

Rule Code of Recovery Rate

Recovery TypeSTANDARD

Save and Close

Manage Tax Jurisdictions

ORACLE

Create Tax Jurisdiction

Save

Save and Close

Save and Create Another

Cancel

* Tax Jurisdiction CodeParty_Fiscal_Jurisdic

* Tax Jurisdiction NameParty_Fiscal_Jurisdic

* Tax Regime CodePARTY_FISCAL_REGIM

* TaxPARTY_FISCAL_TAX

* Geography TypeCOUNTRY

* Geography NameUnited States

Parent Geography TypeNorth American Sales

Parent Geography NameGLOBAL_REGION

☐ Inner city jurisdiction

* Precedence Level300

View Precedence Details

Reporting Tax Authority

Collecting Tax Authority

* Start Date1/1/18

End Date

Default Information

☒ Set as default jurisdiction

* Default Start Date1/1/18

Default End Date

Save and Close

Enable tax for transactions

Manage Configuration Owner Tax Options

ORACLE

AP

Create Configuration Owner Tax Options

* Configuration Owner

AKJ Business Unit

Party Type

Business unit owning tax content

Application Name

Payables

* Event Class

Standard Invoices

Entity Name

Purchase Invoices

* Start Date

1/12/18

End Date

Save

Save and Close

Save and Create Another

Cancel

Default Tax Options

Rounding Precedence 1

Rounding Precedence 2

Rounding Precedence 3

Rounding Precedence 4

Rounding Level

Header

* Regime Determination Set

Determine Applicable

☐ Allow exemptions

☒ Perform additional applicability for imported documents

☒ Allow offset tax calculation

Offset Tax Basis

Ship-from party

☒ Allow tax applicability

☒ Allow entry of manual tax lines

☒ Allow recalculation of manual tax lines

☒ Show tax calculation errors on transactions

☒ Allow override of calculated tax lines

☐ Allow override and entry of inclusive tax lines

☒ Allow supplier tax variance calculation

☐ Enforce tax from reference document

☐ Enforce tax from account

Default Tax Point Basis

Invoice

Tax Tolerance

Tolerance Percentage

Tolerance Range Amount

Receipt Tax Options

☒ Allow delivery-based tax calculation

Report Delivery-Based Taxes on

☒ Receipt

☐ Invoice

Tax Point Date

Receipt date

Tax Point Basis

Delivery

Save and Close

Manage Party Fiscal Classifications

ORACLE

Create Party Fiscal Classification

Save Save and Close Save and Create Another Cancel

* Party Classification SPECIAL Number of Levels 1

Fiscal Classification Type Codes

View Format Wrap

Level	* Type Code	* Type Name	* Start Date	End Date
1	Special1	Special1	1/1/18	

Rows Selected 1

SPECIAL1: Associated Tax Regimes

View Format + Detach

* Tax Regime Code	* Start Date	End Date
PARTY_FISCAL_REGIME	1/1/18	

Select a tax regime to allow this classification type to be used in tax determining factor sets

Additional Information

Fiscal Classification Codes Fiscal Classification Association

View Detach

Fiscal Classification Code	Name	Start Date	End Date
Special1	Special1	5/24/18	12/31/12

Save and Close

Manage Party Tax Profiles

Associate the Party Fiscal Classification to the Third Party and Third Party Site

ORACLE

Edit Third-Party Tax Profile: ORPAT, CDRM_695736

ORPAT CDRM_695736 Save Save and Close Cancel

Party Name ORPAT Party Usage Supplier

Party Number CDRM_695736 Address 36454,,WOODLAND,95695,United States

Country United States

Controls and Defaults Classifications Tax Reporting Codes

View Format + Freeze Detach Wrap

* Fiscal Classification Type Code	* Fiscal Classification Code	* Start Date	End Date
SPECIAL1	Special1	1/1/18	

Save and Close

FUSION TAX

ORACLE

AP

Orpat Main-Pay CDRM_543528

Save

Save and Close

Cancel

Party Site NameOrpat Main-Pay

Party Site NumberCDRM_543528

Party NameORPAT

Party NumberCDRM_695736

Party Usage

Address36454,,WOODLAND,95695,United States

CountryUnited States

Controls and Defaults

Classifications

Tax Reporting Codes

View

Format

+

Freeze

Detach

Wrap

* Fiscal Classification Type Code	Fiscal Classification Type Name	* Fiscal Classification Code	Fiscal Classification Name	* Start Date	End Date
SPECIAL1	Special1	Special1	Special1	1/1/18	

Save and Close

Manage Tax Rules

Create a Tax Rate Rule

ORACLE

AP

Tax Determining Factors

Tax Condition Set

Rule Status and Order

Create Determine Tax Rate Rule: Tax Determining Factors

Back

Next

Submit

Cancel

Rule Details

* Configuration OwnerGlobal configuration owner

* Tax Regime CodePARTY_FISCAL_REGIME

* TaxPARTY_FISCAL_TAX

* Rule CodePARTY_FISCAL_RULE

End Date

* Tax Status CodePARTY_FISCAL_STATUS

* Rule NameParty_Fiscal_Rule

Tax Law Reference

* Start Date1/1/18

Description

Event Class

Event Class

Geography

☐ Set as geography specific rule

Location Type

Parent Geography Type

Parent Geography Name

Geography Type

Geography Name

Tax Determining Factor Set

* CodePARTY_TDFS

Name

Ledger

Tax Determining Factor Set Details

View

Format

Detach

Wrap

Determining Factor Class	Tax Class Qualifier	Determining Factor Name	Required
Party fiscal classification	Ship from	Special1	—

FUSION TAX

Next

Create Determine Tax Rate Rule Party_Fiscal_Rule: Tax Condition...

Back

Save and Next

Submit

Cancel

Rule Details

Configuration Owner

Global configuration owner

Rule Code

PARTY_FISCAL_RULE

Determining Factor Set Code

PARTY_TDFS

Tax Regime Code

PARTY_FISCAL_REGIME

Rule Name

Party_Fiscal_Rule

Determining Factor Set Name

Party_TDFS

Tax

PARTY_FISCAL_TAX

Tax Condition Set

View

Detach

* Tax Condition Set Code	Tax Condition Set Name	Tax Condition Set Order	* New Condition Set Order	* Result	Minimum Tax Rate	Maximum Tax Rate	Enabled
PARTY_TCS	Party_TCS		1	PARTY_FISCAL_RAT			☒

Party_TCS: Details

Tax Condition Set

Tax Reporting Codes

Legal Justification Message Reporting Codes

View

Detach

Tax Determining Factor Class	Tax Class Qualifier	Tax Determining Factor Name	Operator	Value or From Range	To Range	Ignore Condition
Party fiscal classification	Ship from	Special1	Equal to	Special1		---

Save and Next

Enable and Submit the Rule

Create an Invoice

ORACLE

Home

Star

Flag

1

Create Invoice: MJINV_PARTY_1

Invoice Actions

Save and Create Next

Save

Save and Close

Cancel

Last Saved

5/24/18 6:20 PM

Invoice Header

Show More

Identifying PO

Business Unit

Supplier

Supplier Number

Supplier Site

Legal Entity

Invoice Group

AKJ Business Unit

ORPAT

1526453515

Orpat Main-Pay

AKJ HQ

* Number

* Amount

Type

Description

MJINV_PARTY_1

USD

Standard

* Date

* Payment Terms

* Terms Date

Requester

Attachments

Note

5/24/18

Immediate

5/24/18

None

Invoice Summary

Status

Validation

Accounting

Paid

Canceled

Validated

Unaccounted

Unpaid

No

Holds

Installments

Line Variance

Distribution Variance

Manual Holds

0

0

0

0

As per the setup for the supplier / supplier site the tax rate calculated is 9%.